

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

PORTS AMERICA CHESAPEAKE, LLC AND MARINE
TERMINALS CORPORATION-EAST, *Complainants*

v.

APS EAST COAST, INC., *Respondent*.

DOCKET NO. 23-04

Served: December 16, 2024

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview.

Complainants Ports America Chesapeake, LLC (“PAC”) and Marine Terminals Corporation-East (“MTCE”) (collectively, “Ports America” or “Complainants”) filed a Complaint alleging that Respondent APS East Coast, Inc. (“AMPORTS” or “Respondent”) had violated the Shipping Act of 1984, as amended. Complainants, who are related companies that perform roll-on/roll-off (“RO/RO”) stevedoring services at Respondent’s terminals in the Port of Baltimore, allege that Respondent assessed a “baseless and punitive ‘access fee’ on allegedly ‘non-preferred’ stevedores[.]” subjected Complainants to “prejudicial treatment as compared to other stevedores without legitimate transportation justification[.]” engaged in unreasonable practices, including interfering with Complainants’ business relationships and charging Complainants “in excess of \$1.2 million for the alleged access fees without a legal basis for the collection, and “unreasonably refusing to deal with” Complainants, in violation of 46 U.S.C. §§ 41102(c), 41106(2) and 41106(3). (Complaint, pp. 3-4).

After an unsuccessful motion to dismiss, the Respondent filed an answer denying Complainants’ assertions that Respondent engaged in unreasonable or unjustified conduct. (*See generally* Answer).

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. (46 C.F.R. § 502.227).

In its briefing, Complainants set forth several theories as to how the “preferred stevedore” program violated 46 U.S.C. §§ 41102(c), 41106(2), and 41106(3), which resulted in Complainants incurring \$1.277 million in invoiced access fees, and caused Complainants to lose substantial business. (*See generally* Opening Brief of Complainants, Ports America Chesapeake, LLC and Marine Terminals Corporation-East Against Response APS East Coast, Inc. (“Opening Brief”); *see also* Complaint, p. 14). In addition, Complainants asserted that Respondent terminated the so-called “preferred stevedore” program in May 2024. A short time later, Complainants imposed new and allegedly unjust and unreasonable access charges on Complainants effective June 1, 2024, also in violation of 46 U.S.C. § 41102(c). (Opening Brief, pp. 24-28).

As discussed below, I find that Complainants have demonstrated that the “non-preferred stevedore” access fee, which is “much higher” than the fee charged to the preferred stevedore, violated 46 U.S.C. §§ 41102(c) and 41106(2). I find, however, that not all theories advanced by Complainants regarding how Respondent’s conduct violated §§ 41102(c) and 41106(2) are meritorious. I also find that Complainants’ allegation that Respondent’s conduct violated 46 U.S.C. § 41106(3) is not meritorious.

Based on Complainants’ successful claims, I find that a cease and desist order that requires Respondent to stop invoicing Complainants, or attempting to collect from Complainants, “non-preferred” stevedore access fees from January 1, 2023, through May 15, 2024, is appropriate. I find, however, that Complainants have not carried their burden of demonstrating that Complainants are entitled to reparations due to lost profits. I also find that Complainants are not entitled to a cease and desist order regarding the access charges Respondent imposed effective June 1, 2024.

B. Procedural History.

Complainants filed a three-count Complaint on June 2, 2023. (Complaint, CX_00001-CX_00025). In general, Complainants are related companies who provide stevedoring services in the Port of Baltimore. As is relevant here, Respondent operates two terminals in the Port that neighbor one another. The relevant terminals handle RO/RO cargo, which consists of vehicles such as automobiles that can be moved on and off a vessel by means of the vehicle’s own power. (Complaint, CX_00004-CX_00005). Complainants generally allege that Respondent announced on November 1, 2022, that it entered into a “preferred stevedoring” agreement with a third party, Ceres Marine Terminal Services (“Ceres”) that would be effective as of January 1, 2023. (*See* Complaint, CX_00001-CX_00007). In general, the “preferred stevedore” agreement provided that Respondent’s customers would be required to use Ceres for stevedoring services, and that if the customer wanted to use a different, “non-preferred” stevedore (such as Complainants), the customer would be responsible to pay a “punitive” \$25/per vehicle “access fee.” (*See* Complaint, CX_00004, CX_00009). Complainants allege that the preferred stevedoring agreement, and related \$25/per vehicle access fee for non-preferred stevedores, violate three provisions within the Shipping Act: 46 U.S.C. § 41106(2), which prohibits a Marine Terminal Operator (“MTO”) from giving “undue or unreasonable preference or advantage or impos[ing] any undue or unreasonable prejudice or disadvantage with respect to any person” (Count I); 46 U.S.C. § 41102(c), which prohibits an MTO from failing: “to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or

delivering property” (Count II); and 46 U.S.C. § 41106(3), which prohibits an MTO from unreasonably refusing to deal or negotiate (Count III). Complainants allege that they were injured because Respondent charged Complainants \$1.277 million in access fees; Complainants assert that Respondent must pay reparations; finally, Complainants also seek a cease and desist order. (Complaint, CX_00023-CX_00024).

Also on June 2, 2023, the Commission issued a notice of filing of complaint and assignment. The matter was assigned to the Honorable Alex M. Chintella.

Respondent filed a Motion to Dismiss on June 27, 2024, along with an accompanying Memorandum in Support of the Motion to Dismiss (“Memo. Mot. Dismiss”). Among other things, Respondent argued that Complainants failed to include any allegations on how Respondent’s actions affected the entire market, which is a necessary element of each of Complainants’ first two counts. (Memo. Mot. Dismiss, pp. 4-9). As for the third Count, Respondent argued that there was no alleged failure to deal or negotiate. (Memo. Mot. Dismiss, pp. 9-11). On August 16, 2023, after the Motion to Dismiss was fully briefed, the ALJ issued an Order Denying APS East Coast, Inc.’s Motion to Dismiss.

Respondent filed an Answer on August 28, 2023. In general, Respondent admitted many of the basic factual allegations in the Complaint, such as the fact that Respondent entered into the preferred stevedoring agreement, and that Respondent imposed a \$25/per vehicle access fee on the use of non-preferred stevedores. Respondent, however, asserted that the preferred stevedoring agreement, and the related \$25/per vehicle access fee on non-preferred stevedores, were not unreasonable or unjustified. (*See generally* Answer).

On December 27, 2023, the parties filed Motions to Compel Discovery. On February 15, 2024, after the Motions to Compel Discovery were briefed, the parties requested a status conference. Judge Chintella held a status conference with the parties on February 20, 2024. On March 4, 2024, Judge Chintella issued a Memorandum Order Regarding Motion to Compel and Revised Scheduling Order (“Mot. Compel Order”).

On May 29, 2024, the Complainants filed an Emergency Motion for Extension of Time (“Emergency Mot.”). Complainants alleged that on May 15, 2024, Respondent amended its tariff schedule to remove the \$25/per vehicle access fee altogether. (Emergency Mot., p. 2). Complainants also allege that they learned on May 24, 2024, that Respondent would be amending its tariff schedule again, effective June 1, 2024, to impose a \$10/per vehicle access charge for any stevedore providing services at Respondent’s relevant terminals in Baltimore. (Emergency Mot., pp. 1-3). Complainants sought an extension of time to address the new access charge in their briefing because the new access charge affected the issues in this case. (Emergency Mot., pp. 3-4). On May 30, 2024, Respondent filed Respondent’s Response to Complainants’ Emergency Motion for Extension of Time (“Emergency Mot. Response”). Respondent asserted that the amended tariff schedule was not relevant to this case. (Emergency Mot. Response, p. 1). In addition, Respondent stated that the new access charge was published in response to settlement negotiations. (Emergency Mot. Response, p. 2). Judge Chintella issued an Order Granting Complainant’s Emergency Motion for Extension of Time (“Order re: Emergency Mot.”), stating that the tariff changes seemed to be relevant.

On October 4, 2024, this matter was reassigned to the undersigned.

C. The Parties' Arguments.

The Complainants filed an Opening Brief on June 7, 2024 (the "Opening Brief"). Complainants allege Respondent violated 46 U.S.C. §§ 41102(c), 41106(2) and 41106(3). Regarding 46 U.S.C. § 41102(c), Complainants give four reasons why Respondent fail to engage in just and reasonable practices. First, the \$25/per vehicle access fee for non-preferred stevedores was not reasonable because Complainants were unjustifiably charged a "much higher" per vehicle access fee than the preferred stevedore. Moreover, the \$25/per vehicle access fee was not reasonably related to any services Respondent rendered Complainants. (Opening Brief, pp. 8-24). Second, the \$10/per vehicle "terminal access charge" that became effective June 1, 2024, also violated 46 U.S.C. § 41102(c) because it, too, is not reasonably related to any services Respondent rendered Complainants. (Opening Brief, pp. 24-28). Third, Complainants argue that accrued access fees are unenforceable because the fees were not assessed on stevedores, but on carriers or original equipment manufacturers ("OEM")² customers. (Opening Brief, pp. 28-37). And fourth, the exclusive stevedoring agreement was unreasonable under § 41102(c) because it interfered with Complainant's long-standing business relationships with carriers and OEM customers. (Opening Brief, pp. 37-41). Next, Complainants make two arguments why the exclusive stevedoring agreement provided an unreasonable preference to Ceres in violation of § 41106(2): first, Complainants were excluded from the so-called "competitive bidding" process for inconsistent and unpersuasive reasons; and second, there was no legitimate reason for Respondent to charge one stevedore a much higher fee than the other stevedore. (Opening Brief, pp. 41-54). As for § 41106(3), Complainants argue that it was shut out of the competitive bidding process for no valid reason. (Opening Brief, pp. 54-59). Regarding reparations, Complainants allege that they lost most of their business that they previously performed for ocean carriers at the Respondent's terminals and suffered substantial lost profits. Complainants also seek a cease and desist order regarding accrued access fees. (Opening Brief, pp. 59-65).

Respondent filed an opposition brief on July 19, 2024 ("Response"). In opposition to Complainants' arguments, Respondent asserts that Complainants, who carry the initial burden of production and the ultimate burden of persuasion, fail to make a *prima facie* case of unreasonable conduct because Complainants fail to show how Respondent's conduct affected the relevant market, which is the Port of Baltimore. (Response, pp. 12-22). Respondent next argues that only after Complainants establish a *prima facie* case does the burden of production shift to Respondent to show that its business decisions were reasonable. (Response, pp. 22-23). Respondent further argues that its business decisions are generally entitled to deference, and, in any event, in response to Count I (unreasonable preference, prejudice or disadvantage in violation of § 41106(2)), Count II (alleging unreasonable practices under § 41102(c)), and Count III (unreasonable refusal to deal or negotiate under § 41106(3)), Respondent's business practices were and are reasonable. (Response, pp. 23-37). As for the new \$10/per vehicle access charge effective June 1, 2024, Respondent argues that it is outside the Complaint, and, in any event, is unquestionably fair as it is imposed on all stevedores. (Response, pp. 33-34). As for the quantum of damages, Respondent argues that Complainants essentially seek damages under a tortious

² In terms of automobiles, OEMs would be the automobile manufacturers.

interference with contract claim, which is outside of the Commission's jurisdiction (Response, pp. 37-40), and, in any event, Complainants failed to prove their damages. (Response, pp. 40-44).

On August 6, 2024, Complainants filed a reply ("Reply"). Complainants' main argument is that Respondent's attempts to justify the \$25/per vehicle access fee are unpersuasive. (Reply, pp. 9-13). Complainants argue that the authority Respondent cites regarding the relevant market is not relevant and that the \$25/per vehicle fee, as well as the \$10/per vehicle terminal access charge effective June 1, 2024, were unjust and unreasonable. (Reply, pp. 13-29). Complainants also contend that the Commission should not give deference to Respondent's business decisions unless the decisions are reasonable. (Reply, pp. 14-16). As for damages, Complainants argue that they, in fact, proved damages adequately, and introduced several new exhibits to support their damages claim. (Reply, pp. 30-35).

On August 30, 2024, Respondent filed a motion for leave to file a sur-reply ("Motion for Leave to File a Sur-Reply") and proposed sur-reply ("Proposed Sur-Reply"). In short, Respondent primarily argues in the Proposed Sur-Reply that Complainants supplemented their damages claim by adding new documents to their Reply that are untimely and unreliable. (Proposed Sur-Reply, pp. 4-13). Respondent also asserts that Complainants misrepresented Respondent's actions as retaliatory, the Complainants misrepresented the Commission's business judgment rule, and the Complainants misrepresented Respondent's argument regarding *Sec. & Exch. Comm'n v. Jarkesy*, 144 S.Ct. 2117 (2024). (Proposed Sur-Reply, pp. 3-4, 13-14). On September 6, 2024, Complainants filed an Opposition to Respondent's Motion for Leave to File a Sur-Reply ("Opp. Mot. Leave") arguing that Respondent fails to demonstrate extraordinary circumstances. (*See generally* Opp. Mot. Leave).

D. Motion for Leave to File a Sur-Reply.

Respondent's Motion for Leave to File a Sur-Reply is **GRANTED**. The Commission's Rules provide that a party filing a dispositive motion may file a reply. (46 C.F.R. § 503.70(c)). The rules also provide that: "The non-moving party may not file any further reply unless requested by the Commission or presiding officer, or upon a showing of extraordinary circumstances." (46 C.F.R. § 503.70(d)). Likewise, on May 30, 2024, Judge Chintella ordered that "no further extensions" of the briefing schedule would be "granted absent extraordinary circumstances." (Order re: Emergency Mot., p. 2).

Respondent argues that Complainants added new exhibits and arguments to their reply brief, specifically related to the issue of damages. (Motion for Leave to File a Sur-Reply, p. 4). Respondent also argues that Complainants made various misrepresentations, and that Complainants added new arguments. (Motion for Leave to File a Sur-Reply, p. 5). Finally, Respondent argues that, in the alternative, Complainants' supplementary materials and new arguments should be stricken. (Motion for Leave to File a Sur-Reply, p. 6).

The Complainants have added new evidence to their reply brief to support their claim for damages. Without permitting a sur-reply, Respondent would not have a chance to comment upon this evidence. If a party introduces evidence to compel the other party to pay monetary damages, it is only fair to let the other party comment upon the evidence. Therefore, the Motion for Leave

to File a Sur-Reply is **GRANTED**. I accept Respondent's Proposed Sur-Reply and have considered it.

E. Motion for Confidential Treatment.

The parties filed several motions for confidential treatment that I **GRANT IN PART** and **DENY IN PART**. In particular:

- On June 7, 2024, Complainants filed Complainants Ports America Chesapeake, LLC and Marine Terminals Corporation-East's Motion for Confidential Treatment, seeking an order for confidential treatment of Complainants' Opening Brief, Proposed Findings of Fact and Appendix because those documents contain confidential business information, including financial information.
- On July 19, 2024, Respondent filed Respondent's Motion for Confidential Treatment, seeking an order for confidential treatment of Respondent's Appendix and Respondent's Responses to Complainants' Proposed Findings of Fact because those documents contain confidential business information.
- On August 6, 2024, Complainants filed Complainants Ports America Chesapeake, LLC and Marine Terminals Corporation-East's Motion for Confidential Treatment, seeking an order for confidential treatment of Complainants' Reply, Complainant[s'] Response to Respondent's Proposed Findings of Fact, and Supplemental Appendix because those documents contain confidential business information, including financial information.
- On August 30, 2024, Respondent filed Respondent's Motion for Confidential Treatment, for confidential treatment of Respondent's Proposed Sur-Reply because it contains business information that Complainants designated as confidential.

On June 21, 2023, Judge Chintella issued an Initial Order that provided detailed information about filing confidential material. The Initial Order provided that if confidential information is filed, a "motion justifying confidential treatment" that showed "good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information" is required. (Initial Order, p. 5 (citing 46 C.F.R. § 502.141(j)(1))). The Initial Order also indicated that the confidential information should be clearly and conspicuously marked in the confidential version of the filings and blacked out in the public version. (Initial Order, p. 5).

Commission Rule 5 states that: "Confidential information in exhibits should be marked as specified above. If marking within the text is not feasible, individual pages may be replaced in the public version with a page indicating that confidential material is excluded. Entire exhibits should not be excluded, only those pages containing confidential material." (46 C.F.R. § 502.5(a)(2)(iii) (emphasis added)).

The parties submitted over 2,400 combined pages of exhibits in appendices. The parties largely complied with the Initial Order, as well as Commission Rule 5, generally limiting

redactions appropriately. In addition, I am satisfied that most of the information marked confidential by the parties is, in fact, sensitive commercial information. For example, the terms of the so-called “preferred stevedore” agreement between Respondent and the Ceres, who is not a party to this case, have been designated as confidential. (*See, e.g.*, CX_01328-CX_01341). Most of the negotiations related to the terms of that agreement have also been designated as confidential.³ (*See, e.g.*, CX_01308-10, CX_01321-CX_01322). In addition, information related to Complainants’ business operations at the Respondent’s terminals, such as its volume of business, have been designated confidential. (*See, e.g.*, CX_02040-CX_02043). Therefore, I will **GRANT IN PART** the parties’ motions for confidential treatment identified above.

The parties request confidential treatment of information already disclosed. In particular, Complainants redact information about invoices provided to it by Respondent for the first three months of 2023. (*See* Complainants’ Proposed Findings of Fact, p. 20; Respondent’s Responses to Complainants’ Proposed Findings of Fact, p. 37). The total amount of these invoices, however, was previously disclosed and are discussed below.⁴ (Complaint, CX_00014, Attachment B). Therefore, I will **DENY IN PART** the motions for confidential treatment to the extent they seek to designate as confidential the total amount reflected on the invoices Respondent sent to Complainants for stevedoring vehicles at Respondent’s terminal from January 2023 through March 2023, specifically Complainants’ Proposed Findings of Fact, p. 20 and Respondent’s Responses to Complainants’ Proposed Findings of Fact, p. 37.

II. FINDINGS OF FACT

A. Parties and Background

1. Complainant Ports America Chesapeake, LLC (“PAC”) is a limited liability company organized under the laws of the state of Delaware, authorized to do business in Maryland, with its principal place of business in Maryland at the Port of Baltimore. (Complaint, CX_00001-CX_00002).
2. Complainant Marine Terminals Corporation-East (“MTCE”) is a corporation organized under the laws of the state of California, authorized to do business in Maryland, with its

³ Most of the negotiations related to the terms of the preferred stevedoring agreement were designated as confidential. One page, CX_01320, related to the negotiation of the agreement, was not designated as confidential in either the confidential version or the public version of Complainants’ filings. No party objected or attempted to correct it. It is not necessary, however, to discuss this page.

⁴ There are other facts that a party designates as confidential in one place but not others. For example, in its proposed findings of fact, Complainants designates as confidential the names of the businesses whom Respondent invited to bid on the proposed exclusive stevedore agreement. (*See* Complainants’ Proposed Findings of Fact, p. 9). The identities of those businesses are revealed in an email that was not marked confidential. (CX_01306). It is not necessary for purposes of this Initial Decision to address each inconsistency.

principal place of business in Maryland at the Port of Baltimore. (Complaint, CX_00002).

3. Both PAC and MTCE (together, “Complainants”) provide auto and RO/RO stevedoring services in the Port of Baltimore. (Complaint, CX_00002).
4. PAC and MTCE are wholly owned subsidiaries of Ports America Group, Inc. (MTCE’s Answer to Interrogatory No. 5, CX_01530; PAC’s Answer to Interrogatory No. 5, CX_01560; *see also* Beall Dep., CX_00922:13-CX_00925:15).
5. Complainants provide auto and RO/RO stevedoring services to ocean going RO/RO vessels loading and discharging in the Port of Baltimore. (Complaint, CX_00005; Answer, CX_00028).
6. Respondent APS East Coast, Inc., is an entity organized under the laws of the state of Delaware, registered to do business in the state of Maryland. (Complaint, CX_00002; Answer, CX_00027).
7. Respondent is in the auto processing business, describing itself on its web site as “one of the largest auto processors in North America” with a “global vision [] to be the premier Automotive Services Company & Port Terminal Operator...” (Complaint, CX_00002; Answer, CX_00027).
8. Respondent represents on its web site that in the U.S. it operates “seven US port facilities, located in Jacksonville (FL), Freeport (TX), Antioch (CA), Benicia (CA), and three facilities in Baltimore (MD). Respondent’s Global Headquarters is located in Jacksonville, FL, with a Corporate Branch Office at our Atlantic port facility in Baltimore, (MD).” (Complaint, CX_00002; Answer, CX_00027).
9. Respondent is a Marine Terminal Operator (“MTO”), as that term is defined in the Shipping Act, 46 U.S.C. § 40102(15), subject to regulation by, and registered as an MTO with, the Commission, MTO Organization No. 019071. (Complaint, CX_00002; Answer, CX_00027).
10. Respondent operates two terminals that are relevant to this dispute: its Atlantic Terminal and its Chesapeake Terminal in Baltimore, MD. (Complaint, CX_00003, CX_00005; Answer, CX_00027-CX_00028).
11. Pursuant to 46 U.S.C. § 40501(f) and 46 C.F.R. § 525.2, Respondent has published a schedule of its rates, regulations, and practices to the public, applicable to Respondent’s Atlantic and Chesapeake Terminals titled “APS ATLANTIC & CHESAPEAKE TERMINAL TARIFF NO. 2, 019071-002[.]” (Complaint, CX_00003; Answer, CX_00027).
12. The ocean transportation of cars processed by Respondent at the relevant terminals is arranged between the auto manufacturer and the ocean carrier, not by or between Respondent. (Complaint, CX_00006; Answer, CX_00028).

13. Complainants have contracts to provide stevedoring services with various ocean carriers. (See, e.g., CX_02062-CX_02256).

B. The Preferred Stevedoring Agreement.

14. On November 30, 2022, Respondent issued an announcement regarding a new, preferred stevedoring arrangement. The November 30, 2022, announcement stated, among other things, that: a. Respondent had selected a “sole stevedoring provider” for Benicia, CA, locations and its Atlantic/Chesapeake location in Baltimore, MD. Regarding the Baltimore location, Respondent selected Ceres Marine Terminal Services (“Ceres”) to be its sole stevedoring provider. The announcement stated that each stevedore “will have exclusive rights to perform RO/RO vessel operations at their respective locations beginning January 1st, 2023[,]” that such stevedores “have agreed to honor existing stevedoring agreements currently in place at our locations until expiration. It may be beneficial for our customers to open dialog with both companies to explore a long-term deal[;]” representatives of such stevedores “will be in contact soon to discuss the change in stevedoring service at our locations and to answer any questions you may have; only the designated stevedoring companies would be “licensed to perform stevedoring services” at the Respondent’s terminals after December 31, 2022; “[i]f a customer would like to continue to use their current partnership with another stevedoring company, they will be able to do so by paying a \$25.00 per unit fee to enter our facility”; and all stevedoring activities performed by another stevedoring company must be “approved by Respondent’s COO 14 days before vessel activities.” (CX_01359; Complaint, CX_00007-CX_00008; Answer, CX_00029).
15. Prior to making this announcement, beginning in 2021, Respondent’s officers considered growing Respondent’s business in connection with stevedoring, and ultimately decided to enter into a licensing agreement with existing stevedores. (Brown Dep., CX_00072:2-CX_00073:24; Buben Dep., CX_00354:9-CX_00355:2).
16. Respondent entered into the preferred stevedoring agreement with Ceres. (CX_01328-CX_01341). The terms of the preferred stevedoring agreement are confidential. (*Id.*). But, non-confidential facts about it include that Ceres paid a per/vehicle fee to stevedore vehicles at the Respondent’s terminals. (Brown Dep., CX_00092:6-16; RX_68). Complainants characterized the \$25/per vehicle access fee Complainants paid as being “much higher” than the access fee that Ceres paid, which is a sufficient description for purposes of this Initial Decision. (*Compare* CX_01329 with CX_01751; *see also* Opening Brief, pp. 6, 39). The non-confidential headings in the preferred stevedore agreement indicate that there were indemnification and required insurance provisions. (CX_01328-CX_01341). In addition, Respondent’s witnesses testified that the preferred stevedoring agreement contained a dispute resolution provision. (Brown Dep., CX_00283:19-CX_00285:13; Respondent’s Answer to Interrogatory Nos. 11 and 17, CX_01508, CX_01510).
17. Respondent considered several stevedores for the exclusive licensing arrangement, including Complainant. (Brown Dep., CX_00074:21-CX_00074:25). Respondent invited

- several stevedores to bid on the proposed exclusive licensing agreement. (CX_01306; Brown Dep., CX_00148:9-CX:149-10).
18. Although Respondent initially considered asking Complainants to bid on the exclusive licensing agreement, Respondent ultimately did not ask Complainants to bid. (Buben Dep., CX_00367:9-20; CX_00371:1-13).
 19. Several of Respondent's officers and former officers testified that there were safety concerns involving Complainants' operations at Respondent's terminals. (Brown Dep., CX_00149:14-CX_00150:5; Buben Dep., CX_00417:6-CX_00417:13, Taylor, CX_00597:8-22; CX_00642:1-7; Molyneaux Dep., CX_00831:12-19). In particular, Respondent's COO had conversations with longshoremen in Baltimore who raised concerns regarding Complainants' safety record. (Brown Dep., CX_00149:14-CX_00150:5; CX_00151:24-CX_00152:6; Buben Dep., CX_00371:1-13). In addition, witnesses referenced accidents caused by Complainants' drivers that damaged vehicles on Respondent's terminals; one witness testified that accidents were not reported by Complainants. (Buben Dep., CX_00398:9-CX_00399:10; CX_00417:6-CX_00417:18; Molyneaux Dep., CX_00831:12-19). There is evidence in the record of an accident caused by one of Complainants' drivers on April 18, 2023. (CX_01540-CX_01554).
 20. Witnesses for Complainant PAC testified that PAC has a safety rating based on objective data that is better than world-class. (Bevilacqua Dep., CX_01250:17-CX_01251:1; Schmidt Dep., CX_01154:12-CX_001154:22).
 21. Respondent's officers considered several factors in arriving at a \$25/per vehicle access fee for non-preferred stevedores, including capital expenditures, maintenance and upkeep of the terminal, such as snow removal and dredging the berths, and wear and tear on the terminal. (Brown Dep., CX_000082:18-CX_00084:19; Buben Dep.: CX_00450:10-CX_00454:14; CX_00457:19-CX_00458:19). Respondent's witnesses testified that non-preferred stevedores were a financial risk, and thus were charged a higher per unit fee than the preferred stevedores, in part, because of the value of the indemnification and insurance requirements, as well as the dispute resolution provision in the preferred stevedore agreement. (Brown Dep., CX_00083:13-CX_00084:1, CX_00274:3-CX_00277:14; Buben Dep., CX_00450:23-CX_00451:4, *see also* Respondent's Answers to Interrogatory Nos. 11 and 17, CX_01508, CX_01510).
 22. One of the motivations Respondent cited for developing the preferred stevedore arrangement was efficiency. (Taylor Dep., CX_00683:10-CX_00684:1, Buben Dep., CX_00355:3-15). One witness said: "The reasoning behind it is it made for a more efficient terminal in terms of staging, keeping our -- we didn't have two companies, three companies running over each other. It just -- it just made for a more efficient flow through our terminals. We could manage our terminals better." (Taylor Dep., CX_00683:17-23).
 23. The record contains a copy of Respondent's tariff schedule as of April 12, 2023. (CX_01717-CX_01819). The April 12, 2023, tariff schedule contains the following provisions, which are relevant to this matter:

Access and Use

...

(a)(2) Exclusive License for Ro/ro Unloading Services.

(i) Terminal reserves the right to enter into exclusive arrangement [for] the provision of handling services at the Terminal ("Exclusive License").

(ii) After a competitive bidding process, Terminal has granted an Exclusive License to Ceres Terminals, Incorporated ("Service Provider"), a company incorporated under the laws of Delaware, to provide unloading services for all roll-on/roll-off ("Ro/ro") Motor Vehicle cargo at the Terminal.

(iii) Service Provider will provide such Ro/ro unloading services pursuant to direct agreements to be entered between Service Provider and specific recipients of Ro/ro unloading services ("Customer"). If a customer would like to continue to use their current partnership with another stevedoring company, they will be able to do so by paying a \$25.00 per unit fee. All stevedoring activities not performed by Ceres must be approved by AMPORTS COO 14 days before vessel activities.

...

(c) Compliance: Customer, including its employees, subcontractors and invitees, shall conform with all local, MPA, municipal, county, state and federal laws and regulations applicable to Customers operations at or concerning the Terminal, including without limitation those promulgated by the EPA, OSHA, WISHA, DOT, FMCSA, DHS and/or USCG, and shall be responsible for any violation of the same.

...

(g) Damage to Property (Other than cargo): customer shall be responsible for, and shall indemnify and hold Terminal Operator harmless (including legal fees and costs) from and against, all loss/damage to Customers owned/leased equipment and personal property, including all of its owned/leased materials, supplies, tools, equipment vessels, tractors, trucks, motor vehicles, trailers, containers, chassis, flatbeds and other equipment and/or personal property (but not Cargo, the loss/damage of which cargo is addressed elsewhere herein), howsoever caused and even if resulting in whole or part from the negligence (active or passive) or other fault of Terminal Operator. In addition, Customer shall be responsible for, and shall indemnify and hold Terminal Operator harmless (including legal fees and costs) from and against, any loss/damage to the personal property of others at the Terminal, including the personal property of Terminal Operator, which in any way arises out of and/or relates to customers access and/or use of the Terminal or terminal Services.

(h) Personal Injury: Customer assumes responsibility for any bodily/personal injury, illness and/or death of its employees (including those of its subcontractors), and agrees to indemnify and hold Terminal Operator harmless (including legal fees and costs) of and from the same. In addition, Customer assumes responsibility for, and agrees to indemnify and hold Terminal Operator harmless (including legal fees and costs) of and from, any bodily/personal injury, illness and/or death of any other person at the facility which arises out of or is in any way connected with Customers access and/or use of the Terminal or the Services. The foregoing indemnification shall be deemed to include any claim or suit by any employee (present or former) of Customer, and in furtherance thereof Customer waives any immunity from suit, exclusivity of remedy and limitation of liability under any workers compensation act or similar law.

(i) Assumption of Risk: Customer specifically understands, acknowledges and agrees that any and all providing of, access to and/or use of the Terminal and/or the Services of Terminal Operator by or on behalf of Customer shall be at Customers sole risk and expense. In addition to any other types of loss addressed herein, Customer assumes sole responsibility for, and agrees to defend, indemnify and hold Terminal Operator harmless from and against (including legal fees and costs), all other loss, damage, expense, claim, liability, suit, fine and/or penalty of any type or nature whatsoever which in any way arises out of and/or relates to any providing of, access to and/or use of the Terminal and/or the Services of Terminal Operator by or on behalf of Customer, including, without limitation, those respecting any loss/damage to the property of Terminal Operator, Customer or any other as well as those respecting the personal injury, illness and/or death claims of any person, including without limitation of any agent, employee, representative, guest, invitee, vendor and/or subcontractor of Terminal Operator, Customer or any other, howsoever caused and even if resulting in whole or part from the negligence (active or passive) or other legal fault of Terminal Operator. In furtherance of the foregoing, Customer shall waive any immunity from suit, exclusivity of remedy and limitation upon liability that would have otherwise been afforded pursuant to any workers compensation act or similar law

If a customer would like to continue to use their current partnership with another stevedoring company, they will be able to do so by paying a \$25.00 per unit fee. All stevedoring activities not performed by Ceres must be approved by AMPORTS COO 14 days before vessel activities

Rule 34 3, Effective 01Feb2021

DEFINITIONS AND ABBREVIATIONS

...

CUSTOMER shall mean any vessel, vessel owner, carrier, agent, vessel operator, vehicle, conveyance, consignor, consignee, beneficial Cargo owner, person, Cargo, equipment, chassis, or any other person or entity, including but not limited to the

agents, other providers, and other subcontractors (at any level) of any of the foregoing, that uses the Terminal facilities or is provided with, benefits from, or receives any services whatsoever from the Terminal Operator, or any person or business entity who owns or claims an interest in, right to, attachment, or lien regarding any vessel, vessel equipment, equipment, or Cargo.

...

Rule 34 10, Effective 01Feb2021

DAMAGE LIABILITY -- FACILITIES

(a) Every Customer or other user of the Terminal, including without limitation every vessel and its agent, owner and operator, shall be jointly and severally responsible to compensate the Terminal in full, without depreciation, for all damage to the Terminal resulting from its use of, including berthing at, the Terminal. Time is of the essence. The user expressly agrees that the Terminal has the right, at the user's expense, to promptly repair or replace, contract for repair or replacement, or otherwise cause to be repaired or replaced any such damage or destruction, and further expressly agrees to be responsible to pay the Terminal, upon demand, the full cost, without depreciation, to repair such damage or destruction, including without limitation, engineering, damage survey, project oversight, administrative and other costs. The Terminal may at its sole discretion, may provide the engineering and other services itself, in which case the cost shall be determined by the Terminal and shall be a minimum of 20 percent of the cost of using outside services. User shall be responsible to pay the invoiced amount, without regard for any right of the user to seek apportionment, contribution or indemnity from a third party.

...

Rule 34 11, Effective 01Feb2021

COLLISION LIABILITY INSURANCE

(a) All vessels berthing at the Terminal shall maintain Marine Collision Liability Insurance with limits of at least \$3 million for each accident and \$5 million policy limits for aggregate operations on an occurrence basis with umbrella liability coverage with a limit of at least \$10 million with underwriters, deductibles and other terms satisfactory to the Terminal, and shall provide proof of such insurance acceptable to the Terminal.

(b) The vessel, her owners and operators shall indemnify, defend and hold Terminal harmless (including legal fees and costs) from and against any loss, damage, expense, claim, liability and/or suit resulting from failure of vessel to provide insurance as required and/or resulting from the failure of vessel's such insurance, including without limitation exposure to loss, damage, expense, claim, liability and/or suit which would have been covered had

insurances been procured and maintained as required.

(CX_01751-CX_01753; CX_01762-CX_01763).

24. Respondent did not identify any unique benefit that is connected with the \$25/per vehicle access fee. In answer to an Interrogatory that asked Respondent to describe the benefits related to the access fee, Respondent wrote:

Respondent contends that a commercial entity that uses its privately-owned terminal to engage in for-profit activities benefits from access to the terminal properties, as such access is a necessary component of such commercial activities. Such entities also benefit from the provision of necessary related services, including the maintenance, repair, pavement, and improvement of terminal facilities including roadways and lighting, without which a stevedore could not carry out its operations, the provision of terminal security and surveillance systems that promotes the safety and security of the stevedore's personnel and the safety and security of cargo offloaded from the vessels, the provision of weather mitigation activities including snow removal, securing terminal properties against the risks of high winds including missile hazards, and the maintenance of drainage at the terminal, without which a stevedoring entity would not be able to carry out its operations, or would face significant burdens and delays, as well as increased risk to its personnel and risks of losses due to damage to cargo, and administrative services related to monitoring terminal access, tracking cargoes on terminal properties, and monitoring safety and security on the terminal, without which a stevedoring entity would face denial of access or increased costs and burdens on operations.

(Respondent's Answer to Interrogatory No. 20, CX_01510-CX_01511).

C. Correspondence Following the Announcement of the Preferred Stevedoring Agreement.

25. In November and December 2022, several carriers sent letters to Respondent generally complaining about the \$25/per vehicle access fee to be paid for using the non-preferred stevedore. In particular, on December 2, 2022, Wallenius Wilhelmsen Ocean sent a letter to Respondent to "register our objections to the announcement in your November 1, 2022 letter" (CX_01367-CX_01368). On December 20, 2022, MOL (Americas) LLC and Kawasaki Kisen Kaisha, Ltd. sent a letter through counsel to Respondent demanding that Respondent "cease and desist from your unlawful behavior." (CX_01374-CX_01379). On December 29, 2022, Grimaldi Group S.p.A., sent a letter stating that it views the preferred stevedoring agreement "as commercially offensive to our longstanding relationship with Amports." (CX_01371-CX_01373).
26. On December 6, 2022, Complainants' counsel sent a letter to Respondent in response to the Respondent's November 1, 2022, announcement of the preferred stevedoring agreement. The December 6, 2022, letter describes Complainants' understanding that

Respondent had taken, or planned to take, the following actions: Respondent intended to “license” stevedores delivering or receiving cargo at certain of Respondent’s terminals; Respondent intended to restrict allegedly “unlicensed” stevedores providing RO/RO stevedoring services to third-party vessels in Baltimore for cargo received from or delivered to Respondent’s terminals after December 31, 2022; Respondent was coordinating with other allegedly “licensed” stevedores to interfere with existing stevedoring services relationships and agreements that ocean carriers have with stevedores such as Complainants; and if an ocean carrier failed or declined to change stevedores to a “licensed” stevedore—which in many cases would require an ocean carrier to breach an existing stevedoring agreement—Respondent intended to charge “a \$25.00 per unit fee” on each car in order “to enter our facility.” (CX_01380-CX_01383; Complaint, CX_00008-CX_00009; Answer, CX_00029). In relevant part, Complainants’ December 6, 2022, letter states:

Virtually every aspect of AMPORTS’ actions violate (or if implemented would violate) the Shipping Act under multiple, well established Shipping Act principles. There is no legitimate basis for claiming that the purported “licensing,” and a \$25 fee for purportedly unlicensed stevedores, is necessary at the Atlantic/Chesapeake sites to “shorten drive times, design staging areas for cargo, and expedite vessel operations.” Nor does your letter explain how assessing punitive access fees, interfering with existing stevedoring contracts and reducing competitive stevedoring choices is necessary to achieve such results.

Even if there were a remotely plausible basis for AMPORTS assertions, AMPORTS has not identified the terms and has not made those terms available to similarly situated parties, such as [Ports America]. It is doubtful whether the terms of such contracts even address legitimate transportation distinctions, given that actual stevedoring contracts are between the stevedores and the ocean carriers, not AMPORTS. And whatever the terms or the service actually being provided by AMPORTS to purportedly “licensed” stevedores, or they to AMPORTS, if any at all, the intended charge of \$25 per car to access the AMPORTS terminal without a contract is blatantly excessive, both in relation to the cost of providing the mysterious alleged service for access, and in relation to the overall economics of RO/RO stevedoring on a per unit basis.

(CX_01381-CX_01382; Complaint, CX_00009-CX_00010; Answer, CX_00029).

27. On December 29, 2022, three days before the tariff schedule with access fees was to take effect, Respondent responded through counsel to Complainants’ December 6, 2022, letter. The Respondent response noted that: “[a]s you might expect, in addition to your letter, AMPORTS, INC. has received inquiries from other affected entities concerning the November 1, 2022[,] announcement advising of preferred stevedoring providers at the AMPORTS’ Benicia, CA and Atlantic/Chesapeake, MD facilities;” that Respondent intended to prepare a “comprehensive response” to concerns raised by Complainants and others; and that in the interim Respondent was temporarily suspending “the collection of

the \$25 per unit fee proposed to cover the costs associated with the use of other stevedoring companies at the . . . Atlantic/Chesapeake, MD facilities.” (CX_02037; *see also* Complaint, CX_00010; Answer, CX_00029).

28. On March 31, 2023, Respondent sent a letter to Complainants stating that:

Respondent is subject to the Shipping Act as an MTO; represented that the intended purpose of the “preferred stevedore” arrangement and the alternative \$25 access fee was to “better optimize its terminal and operations, which it expects will increase the quality and efficiency of service for its vessel operating customers, while lowering costs at its terminals.”; claimed that its “preferred stevedore” arrangement and the alternative \$25 access fees were justified by three transportation factors: reducing berthing delays caused “when multiple stevedores would be chosen for the unloading of a single vessel[;]” reduction in terminal efficiency occurring “in the presence of an array of stevedores, each with their own equipment that may require storage, and cause congestion on the terminal, along with their own unique approaches to arranging customer vehicles on the terminal, reduced the amount of available yard space[;]” difficulty of identifying responsibility for terminal and cargo damage “[w]hen numerous stevedores are on the terminal at the same time, operating independently within the same terminal areas.”; that Respondent undertook a selection process to determine its preferred stevedores, disclosing two of the factors upon which the selections were based: (1) “health and safety track records” and (2) “the ability to ensure sufficient and consistent dockside labor.”; asserted that the \$25 fee would be collected from “any unlicensed stevedore company for access to AMPORTS’ facilities and it is not a charge payable by our carrier customers.” Respondent stated that “We appreciate that the use of the term “they” in the Announcement may have been somewhat ambiguous[;]” stated that it would commence collection beginning on April 10, 2023; and asserted that “[w]e are advised that Ports America has accrued approximately USD \$1.2 million in fees since January 1, 2023.” Respondent concluded its letter stating: “Should Ports America or MTCE be interested in bidding to be AMPORTS’ preferred stevedore provider in the future, for which it appears they may be well suited, AMPORTS will ensure that both entities are included in the next Request for Quote round. In connection with such future evaluations, AMPORTS’ would be pleased to receive PAC and MTCE’s safety records and any efficiency metrics available.”

(CX_01520-CX_01524; Complaint, CX_00011-CX_00012; Answer, CX_00029-CX_00030).

29. On April 13, 2023, Complainants responded to Respondent’s letter stating:

In the interests of time, and in light of your statement in your letter that AMPORTS intends to start its previously suspended “collection of the \$25

per unit fee which was the subject of the Announcement,” we are specifically writing to make it clear that (1) we reject AMPORTS assertion of the purported access fee; (2) we reject AMPORTS assertion that it has a legal basis upon which to assess or collect such a fee from a stevedore in Baltimore, specifically including [Complainants], and (3) we intend to continue providing stevedoring services to ocean carrier customers loading and unloading at AMPORTS facilities at our discretion and expressly without agreeing to AMPORTS’ assessment of its proposed \$25/unit fees and without paying any such fees. . . .

We also reject any claim that [Complainants], or anyone, owes AMPORTS for any such \$25 fee for any period prior to your recent letters, including with regard to the perplexing statement in your March 31, 2023 letter that “[w]e are advised that Ports America has accrued approximately USD \$1.2 million in fees since January 1, 2023.” First, you admitted that AMPORTS “suspended” its proposed fee from the time of your December 29, 2022 letter until the time stated in your March 31, 2023 letter, which in the case of [Complainants], was April 10, 2023. Second, even if AMPORTS had not suspended the proposed January 1, 2023 start of its unlawful fee on December 29, 2022, [Complainants] clearly rejected the lawfulness of the proposed fee on December 6, 2022, and [Complainants] continue to reject the lawfulness of the proposed fee through and including today. AMPORTS’ unilateral assertion that it has assessed, or intends to assess, the unlawful fee on [Complainants] does not constitute a legal basis to actually assess it or collect it from [Complainants].

(CX_02038-CX_02039; *see also* Complaint, CX_00013-CX_00014; Answer, CX_00030).

30. On April 7, 2023, Complainants’ employee emailed at least two carriers asking each carrier to accept the \$25/per vehicle fee as a pass through. (CX_01572-CX_01575).
31. On April 11, 2023, one of Complainants’ customers, Grimaldi/ACL, responded that it is:

. . . not in the position to risk absorbing these 25\$ per unit for the time being. We have no options left than working the forthcoming few vessels with the stevedores imposed by Amports meanwhile we will approach our customer to look for a longterm solution allowing to still work with POA as this remains our goal.

(CX_01573).

32. An email chain from April 11 and 12, 2023, shows that Complainants engaged in negotiations with MOL Mol Ace, though the results are confidential. (CX_01577).

33. Complainants stevedored a substantial number of vehicles from January 1, 2023, through March 31, 2023, thereby incurring \$1.277 million in access fees. (CX_01491; Complaint, CX_00014, Attachment B; Answer, CX_00030).
34. Respondent sent three invoices dated April 17, 2023, to Complainants for each of the first three months of 2023, totalling \$1.277 million. (Complaint, CX_00014, Attachment B; Answer, CX_00030).
35. On May 23, 2023, and again on July 26, 2023, Respondent's employee emailed Complainants regarding the status of payment of invoices. On July 28, 2023, Complainants' employee responded stating that Complainants reject the invoices, asserting that they "are not valid" and that Complainants have no "obligation to pay the invoiced charges." (CX_01519).
36. Complainants submitted confidential spreadsheets showing the volume stevedored by PAC and MTCE at the "Fairfield" terminals, which included the Respondent's terminals, from 2019 through March 2024. It is sufficient to note that Complainants lost nearly all of their volume for some customers, Complainants lost approximately half of their volume vis-à-vis other customers, and Complainants lost a relatively small percent of their volume for other customers, namely the customers with whom they engaged in negotiations. (CX_02040-CX_02043; *see also* CX_01577).
37. On November 10, 2023, Complainants MTCE and PAC each provided answers and objections to Respondent's interrogatories. (CX_01525-CX_01539; CX_01555-CX_01569). Complainants' answers regarding damages have been designated as confidential. Without going into detail, it is sufficient to note that each Complainant identified a loss in business from a customer (*e.g.*, X% of customer Y's business was lost due to Respondent's actions). Each Complainant also identified an average volume of automobiles stevedored at Respondent's terminals in 2021-2022, as well as the estimated 2023 volume. In general, there was a significant decrease in automobiles stevedored for each Complainant. Each Complainant also calculated the approximate earnings before interest, taxes, depreciation, and amortization ("EBITDA") value for the lost volume. Neither Complainant provided an explanation regarding how the EBITDA value was calculated. (CX_01532; CX_01562).
38. On April 29, 2024, Respondent's counsel deposed PAC's corporate representative. (Schmidt Dep., CX_01039-CX_01200). The witness provided testimony regarding lost volumes for both PAC and MTCE for 2023 and 2024, as well as lost EBITDA for both PAC and MTCE. (Schmidt Dep., CX_01160:4-CX_01161:19). The witness was asked the following questions, and provided the following answers:

Q Mr. Schmidt, do volumes between carriers vary from year to year?

A Yes.

Q What is the variance in those fluctuations?

A It's different each year. It depends on their business and their scope of work and contracts that they're awarded.

(Schmidt Dep., CX_01166:12-19). The witness was also asked about conversations he had with representatives of various carriers, some of which was designated as confidential. (*See generally* Schmidt Dep., CX_01114-CX_01144). It is sufficient to note that the witness did not testify that he was told directly by any carrier, other than via email from Grimaldi (*see* CX_01573), that the carrier was taking business to another stevedore due to the Respondent's access fees. (*See* Schmidt Dep., CX_01114-CX_01144). The witness also testified that Complainants were able to enter into an arrangement with one of its carrier clients regarding the access fees. (Schmidt Dep., CX_01130:9-CX_01137:5).

D. Terminal Access Charge Effective June 1, 2024.

39. Effective May 15, 2024, Rule 34 2(a)(2) of Respondent's tariff schedule was amended as follows:

(a)(2) Ro/ro Unloading and Loading Services.

(i) Terminal does not currently provide Ro/ro unloading and loading services (i.e. stevedoring services) at the Terminal Vessel-related Customers may obtain such services with stevedoring service providers.

(ii) Terminal Operator reserves the right to require service providers seeking to provide stevedoring services at the Terminal to be approved for such operations by Terminal Operator. In considering whether to approve a service provider for stevedoring operations at the Terminal, Terminal Operator may consider Customer requests, the service providers insurance arrangements, management and administrative performance, and such other factors as Terminal Operator deems relevant. Terminal Operators approval shall also be subject to the service providers express acknowledgement of the indemnification terms set out in this Tariff.

(iii) Terminal Operator reserves the right to impose Terminal Access Charges on stevedoring services providers in such amounts as Terminal Operator deems appropriate upon 10 days' prior notice.

(iv) Terminal Operator reserves the right to enter into exclusive arrangements for the provision of stevedoring services at the Terminal ("Exclusive License").

(CX_01854).

40. Respondent issued an announcement on May 24, 2024, indicating that it was discontinuing its exclusive stevedoring program and replacing it with uniform tariff-based requirements and standards and a uniform terminal access fee applicable to all service providers. (CX_01923).

41. On May 24, 2024, Respondent submitted a new version of Rule 34(a)(2) for publication effective June 1, 2024.

(a)(2) Ro/ro Unloading and Loading Services.

- (i) Terminal does not currently provide Ro/ro unloading and loading services (i.e. stevedoring services) at the Terminal. Vessel-related Customers may obtain such services pursuant to direct agreements with stevedoring service providers.
- (ii) Terminal Operator reserves the right to require stevedoring service providers seeking to provide stevedoring services at the Terminal to be approved for such operations by Terminal Operator. In considering whether to approve a stevedoring service provider for stevedoring operations at the Terminal, Terminal Operator may consider Customer requests, the stevedoring service providers insurance arrangements, its safety, management and administrative performance, and such other factors as Terminal Operator deems relevant. Terminal Operators approval shall also be subject to the stevedoring service providers express acknowledgement and acceptance of the indemnification terms set out in this Tariff applicable to the stevedoring service provider as a Customer under this Tariff.
- (iii) Stevedoring service providers will be assessed an access fee of ten dollars (\$10.00) for each import or export vehicle handled by such stevedoring service provider on the Terminal. Payment of the access fee is due within 15 days of receipt of the invoice.
- (iv) Terminal Operator reserves the right to enter into exclusive arrangements for the provision of stevedoring services at the Terminal ("Exclusive License").
- (v) Failure by a stevedoring service provider to: acknowledge and accept the indemnification terms in section (a)(2)(ii), pay when due the access fee in section (a)(2)(iii), comply with the further provisions of this Rule 34-2, including without limitation sections (c), (d), (e), (g), (h), and (j), or failure to comply with the stevedoring service provider insurance requirements of this Tariff may result in denial of access to the Terminal.

(CX_01924-CX_01927).

42. The published tariff schedule, effective June 1, 2024, had the language described in paragraph 41 above. (CX_01962).

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Burden of Proof.

To prevail in a proceeding brought to enforce the Shipping Act, “a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act. In general, the burden of proof is on the complainant.” (*Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, 1 F.M.C.2d 264, Dkt. No. 17-07, 2019 WL 1376529, at *13 (ALJ Mar. 25, 2019); *see also* 5 U.S.C. § 556(d)). If the complainant makes out a *prima facie* case of unreasonableness, the burden of refuting that case shifts to the respondent. (*River Parishes Company, Inc. v. Ormet Primary Aluminum Corporation*, Dkt. 96-06, 1999 WL 125991, at *23 (FMC, Feb. 3, 1999) (“*RIVCO*”)).

B. Alleged Violation of 46 U.S.C. § 41102(c).

Complainants advance four arguments as to how Respondent violated § 41102(c). First, Complainants argue that the \$25/per vehicle access fee was unreasonable. Second, Complainants assert that the \$10/per vehicle access charge effective June 1, 2024, is also unreasonable. Third, Complainants argue that the tariff schedule’s language does not impose a \$25/per vehicle access fee on stevedores, and thus there is no basis for Respondent to charge Complainants. Fourth, Complainants aver that Respondent knew that the preferred stevedoring arrangement would interfere with Complainants’ business relations with its carrier customers. I address each argument in turn below.

1. The \$25/Per Vehicle Access Fee Was Unjust and Unreasonable.

Complainants allege that the preferred stevedoring agreement, which imposes a \$25/per vehicle access fee on Complainants, violates 46 U.S.C. § 41102(c). Complainants argue that the access fee charged to the non-preferred stevedores was unreasonably and unjustifiably “much higher” than the access fee charged to the preferred stevedore. Complainants also argue that the \$25/per vehicle access fee for non-preferred stevedores is not reasonably related to any benefit Respondent confers on Complainants. (Opening Brief, pp. 8-24).

Section 41102(c) of the Shipping Act provides that an MTO “may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling storing or delivering property.” (46 U.S.C. § 41102(c)).

By regulation, the Commission identified the following five elements of a claim under § 41102(c):

(a) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) the practice or regulation relates to or is connected with receiving, handling, storing or delivering property; (d) the practice or regulation is unjust or unreasonable; and (e) the practice proximately caused the claimed loss.

(46 C.F.R. § 545.4).

a. Complainants' Prima Facie Case Under § 41102(c).

I find that Complainants satisfied the first three elements of a claim under § 41102(c). First, Respondent admitted in its answer that it is an MTO and that it operates the two terminals at issue. (Complaint, CX_00003, CX_00005; Answer, CX_00027-CX_00028). Second, the \$25/per vehicle fee was normal, customary and continuous – it was in the Respondent's tariff schedule effective January 1, 2023, through May 15, 2024, and Respondent invoiced Complainants \$1.277 million dollars for the first three months of 2023. (CX_01751-CX_01753; Complaint, CX_00014; Answer, CX_00030). Third, the \$25/per vehicle fee clearly relates to or is connected with the receiving, handling, storing or delivering property. Indeed, the complained-of practice relates to the stevedoring of cargo. (CX_01751-CX_01753).

The bulk of the dispute relates to the fourth element of a § 41102(c) violation, *i.e.*, whether the practice is unjust or unreasonable. In general, as it relates to terminal practices, the test for reasonableness is: “that the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.” (*Ceres Marine Terminal v. MD Port Admin.*, 27 S.R.R. 1251, 1997 WL 35281266, *38 (FMC 1997), *aff'd in part, rev'd in part on other grounds sub nom. MD Port Admin. v. Federal Maritime Comm'n*, 164 F.3d 624, 1998 WL 716035 (4th Cir. Oct. 13, 1998) (“CMT”) (quoting *West Gulf Maritime Ass'n v. Port of Houston*, 21 F.M.C. 244, 248 (FMC 1978)). “This test remains the benchmark for assessing whether terminal practices are unjust or unreasonable under § 41102(c).” (*Intermodal Motor Carriers Conference v. OCEMA*, Dkt. 20-14, 2024 WL 641501, *20 (FMC, Feb. 13, 2024) (“IMCC”)).

Respondent argues that the question of unreasonableness should not be reached. Respondent argues that Complainants failed to demonstrate that the stevedoring agreement was *prima facie* unreasonable. Respondent argues that to make a *prima facie* showing of unreasonableness, Complainants must first demonstrate that the exclusive stevedoring agreement at issue had an anticompetitive effect on the relevant marketplace, which would be the entire Port of Baltimore, and not just the terminals that were affected by the exclusive stevedoring agreement. (Response, pp. 12-22).

For support, Respondent primarily relies on three cases: *All Marine Moorings, Inc. v. Ito Corp. of Baltimore*, 27 S.R.R. 539, 1996 WL 264720 (FMC, May 15, 1996); *RIVCO*, 1999 WL 125991; and *Marine Repair Servs. of MD, Inc. v. Ports America Chesapeake, LLC*, 2013 WL 9808672, Dkt. No. 11-11 (ALJ, Jan. 10, 2013). In each of these three cases, although the respondent disallowed the complainant to provide a service, the disallowance was found to not violate the Shipping Act because the disallowance did not affect the complainant's ability to compete in the market as a whole.

In *All Marine*, the complainant, a provider of line handling services, complained of an unreasonable preference where the respondent, who leased a terminal from the port administration, was the sole provider of line handling services at its leased terminal. (*All Marine*, 1996 WL 264720, at *1-*2). The Commission upheld the ALJ's dismissal of complainant's unreasonable preference claim. It concluded that the appropriate relevant market for determining the reasonableness of the respondent's behavior was the Port of Baltimore, not just the terminal at issue. Moreover, the Commission found that the respondent's conduct had a minimal impact on the whole market. (*Id.*, at *13-*14).

Similarly, in *RIVCO*, the complainant alleged that an exclusive service agreement between a terminal operator and one of the complainant's competitors for tug services was unreasonably prejudicial because it shut complainant out of the market for providing tug services at one terminal on the Mississippi River. (*RIVCO*, 1999 WL 125991, at *4). The Commission affirmed the ALJ's holding that the complainant failed to make a *prima facie* case of unreasonableness because the complainant failed to show that the relevant market was limited only to the terminal at issue or other, similarly situated terminals. (*Id.*, at *26). In any event, complainant failed to show that the exclusive agreement at one terminal affected the otherwise competitive market for tug services as a whole. (*Id.*, at *27-*29).

In *Marine Repair*, the respondent, who leased a terminal from the port administration and exclusively provided stevedoring services at the leased terminal, allegedly unfairly prejudiced the complainant, who had previously performed maintenance and repair services ("M&R") for refrigerated containers at the same terminal. Respondent allegedly limited complainant's access to the leased terminal and tied M&R services at the leased terminal to stevedoring services. (*Marine Repair*, 2013 WL 9808672, at *2-*7). The ALJ dismissed the complaint due to complainant's failure to make a *prima facie* case, noting that in exclusive arrangement cases, "the Commission must first determine the relevant market and then assess the effect of the respondent's practices on competition in that market." (*Id.*, at *31). The ALJ concluded that the relevant market was not the leased terminal, but the entire port, and that despite any alleged anticompetitive behavior by the respondent, competition for M&R services still exists in the relevant market as a whole. (*Id.*, at *32-*39).

These cases are distinguishable. They all involve a challenge to an exclusive service agreement. The preferred stevedoring agreement announced November 1, 2022, was not an exclusive services agreement. Instead, the preferred stevedore agreement still permitted Complainants to operate at Respondent's terminal, albeit for a "much higher" access fee. Moreover, Complainants do not argue that the preferred stevedore arrangement Respondent established violates the Shipping Act, nor do Complainants rely on cases involving exclusive arrangements. (Complaint, CX_00016; Opposition to Motion to Dismiss, pp. 7-8; Reply, pp. 22-23). Instead, Complainants argue that Respondent imposed a \$25/per vehicle access fee on Complainants that is "much higher" than the access fee charged to a similarly situated stevedore, but Respondent conferred no additional benefits on Complainants for the higher fee.

There are many cases where a complainant was able to demonstrate a violation of the Shipping Act due to unjustified disparate treatment without the necessity of showing how the respondent's conduct affected the relevant market. For example, in *Plaquemines Port v. FMC*, 838 F.2d 536 (D.C. Cir. 1988), the D.C. Circuit affirmed the commission's conclusion that the complainant showed a violation of the Shipping Act where the port did not collect fees from smaller vessels and privately owned docks and wharves, even though the evidence showed that the administrative burden in collecting fees from smaller vessels was not too great, and the private entities received benefit from the port's fire services. In another example, in *CMT*, the Commission upheld the ALJ's finding of a Shipping Act violation where the Maryland Port Administration ("MPA") gave an ocean carrier more favorable lease terms than a stevedore, finding that the lessee's respective status alone as a carrier or stevedore to be insufficient justification for the different treatment. (*See generally CMT*, 1997 WL 35281266). More cases are discussed below. Therefore, it is not necessary for Complainants to show that Respondent's

conduct affected the relevant market for Complainants to make a *prima facie* showing that Respondent violated § 41102(c).

Returning to Complainants' argument, Complainants assert that they were charged a "much higher" access fee than the preferred stevedore for no additional benefit. In a case where fees were imposed unevenly, the Supreme Court provided instruction that is helpful to the present case. In *Volkswagenswerk Aktiengesellschaft v. Federal Maritime Comm'n*, 390 U.S. 261 (1968) ("*VWA*"), an association of carriers, stevedores, and terminal operators entered into a collective bargaining agreement with the longshoremen's union that, among other things, created a fund for the union. (*VWA*, 390 U.S. at 263-64). To raise money for the fund, the association imposed a fee based on tonnage handled. (*Id.*, at 264-65). But, the association applied a different, and much higher, formula for assessing a fee for automobiles. (*Id.*, at 265-66). In the resulting litigation, the Supreme Court ultimately found that the fee was unenforceable because the fee agreement was not properly filed with the Commission. (*Id.*, at 268-78). The Court continued, stating that in the event the fee agreement is filed, and the Commission had to consider whether it violated Section 17 of the Shipping Act of 1916 (the predecessor to § 41102(c)), "[t]he question under [§]17 is not whether the petitioner has received some substantial benefit as the result of the Mech Fund assessment, but whether the correlation of that benefit to the charges imposed is reasonable." (*Id.*, at 278-82). The Supreme Court continued that the proper inquiry is "... whether the charge levied is reasonably related to the service rendered." (*Id.*, at 282).

The *VWA* test was rearticulated in *Baton Rouge Marine Contractors, Inc. v. Federal Maritime Comm'n*, 655 F.2d 1210 (D.C. Cir. 1981) ("*BARMA*"). There, a stevedore challenged a fee imposed on all stevedores by a terminal operator as being unreasonable under § 17, which, after a protracted history, the Commission concluded was reasonable. (*BARMA*, 655 F.2d at 1211-15). The D.C. Circuit remanded the matter to the Commission to determine the relative benefits the stevedore received vis-à-vis others, such as the carriers. (*Id.*, at 1217-18). Discussing *VWA*, the D.C. Circuit stated: "... , if the challenger pays more than other parties pay, for fewer benefits than other parties receive, then the charge is unreasonable under § 17." (*Id.*, at 1217).

In *Louis Dreyfus Corp. v. Plaquemines Port*, 25 F.M.C. 59 (1982), the Commission applied the guidance from the Supreme Court's decision in *VWA*. There, the port imposed fees only on vessels over a certain size, thereby essentially exempting smaller vessels. (*Louis Dreyfus*, 25 F.M.C. at 60). The Commission stated that the complainants, who paid a substantial portion of the fees the port collected, made a *prima facie* showing of a violation of § 17 of the 1916 Act. Relying on *VWA*, the Commission stated that charges imposed on complainants did not bear a reasonable relationship to the comparative benefit obtained: the complainants did not receive benefit from the port proportionate to the costs allocated to them, whereas other users received the same benefits but did not have to pay the fee. (*Id.*, at 68-69).

In general, a party's operating expenses cannot be allocated solely to a limited number of beneficiaries. In *Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, 27 S.R.R. 1123 (FMC 1997), railway switching charges were imposed on a stevedore. (*Flanagan Shipping*, 27 S.R.R. at 1125). The Commission rejected an argument that the stevedore benefits from the switching since the port would be inoperative but for the switching. (*Id.*, at 1131-32). The Commission, citing *VWA*, stated a "substantial, correctly allocable benefit from rail switching

has not been shown to flow to the stevedore; absent such a benefit, no charge can be reasonable.” (*Id.*, at 1132).

In this case, the key fact is that the Complainants were charged a \$25/per vehicle fee, which is “much higher” than the fee charged the preferred stevedore. (*Compare* CX_01329 with CX_01751; *see also* Opening Brief, pp. 6, 39). Moreover, it appears that Complainants received no additional benefit for the higher fees. The tariff schedule identifies no additional benefits that the non-preferred stevedores receive for the much higher fee. (CX_01751-CX_01753; CX_01762-CX_01763). Moreover, in answer to an Interrogatory that asks about benefits received for the access fee, Respondent stated, in sum, that the non-preferred stevedore would receive access to the terminal, as well as the benefits of Respondent’s efforts to maintain and operate the terminal. (CX_01510-CX_01511). But, these are benefits that the preferred stevedore would also receive without having to pay the “much higher” access fee. In short, Complainants were charged a much higher fee but received no more benefits than the preferred stevedore. (*See BARMA*, 665 F.2d at 1217) (“... , if the challenger pays more than other parties pay, for fewer benefits than other parties receive, then the charge is unreasonable.”). Thus, Respondent’s practice appears to be unjust and unreasonable.

Returning to the elements of a § 41102(c) claim, the final element is proximate causation. (46 C.F.R. § 545.4(e)). This element is satisfied. Respondent sent invoices to Complainants for stevedoring vehicles during the first three months of 2023 that are based on the \$25/per vehicle access fee, though Complainants have refused to pay the invoices. (CX_01491; Complaint, CX_00014; Answer, CX_00030; CX_01519). Nevertheless, it is more likely than not that the “much higher” access fee resulted in higher invoices than Complainants would have received had the Complainants been charged the same access fee as the preferred stevedore.

I find that Complainants have made a *prima facie* case of an unjust and unreasonable shipping practice in violation of § 41102(c). Therefore, the burden of proof shifts to the Respondent to justify the *prima facie* unjust and unreasonable practice. (*RIVCO*, 1999 WL 125991, at *23).

b. Respondent’s Justifications.

Respondent advanced three justifications for the higher access fee imposed on the non-preferred stevedore. First, the higher fee serves the purpose of increased efficiency. Second, it serves the purpose of increased safety. And third, the higher access fee is justified by the increased financial risk of permitting the non-preferred stevedore to access the terminal. For the reasons discussed, however, I find that the practice of charging a higher fee to the non-preferred stevedore is not reasonably related, fit, and appropriate to any of these ends. (*See, e.g., CMT*, 1997 WL 35281266, *38 (quoting *WGMA*, 21 F.M.C. at 248) (noting that the benchmark test for reasonableness is whether the practice is “otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.”))).

Respondent’s first justification is efficiency. There is evidence in the record that Respondent’s personnel initially considered the stevedoring agreement to bolster efficiency, or quality. (Taylor Dep., CX_00683:10-CX_00684:1, Buben Dep., CX_00355:3-15). As Respondent’s former CEO phrased it: “The reasoning behind it is it made for a more efficient

terminal in terms of staging, keeping our -- we didn't have two companies, three companies running over each other. It just -- it just made for a more efficient flow through our terminals. We could manage our terminals better.” (Taylor Dep., CX_00683:17-23).

In general, efficiency is a valid goal. (*See* 46 U.S.C. § 40101(2) (“The purposes of this part are to . . . (b) ensure an efficient . . . transportation system . . .”). Nevertheless, the “much higher” fee charged to the non-preferred stevedore does not achieve that goal because it allowed Complainants to continue to operate at the Respondent’s terminal. In fact, the tariff schedule implementing the preferred stevedoring agreement specifically contemplates that a carrier may continue to use its own stevedore, albeit at an increased fee. (*See, e.g.*, CX_01751 (“If a customer would like to continue to use their current partnership with another stevedoring company, they will be able to do so only by paying a \$25.00 per unit fee.”)). Indeed, there is no question Complainants continued to operate at Respondent’s terminals. Respondent sent \$1.277 million in invoices to Complainants because Complainants moved a substantial number of vehicles in the first three months of 2023. (*See* Complaint, CX_00014, Attachment B; Answer, CX_00030; *see also* CX_01491). Moreover, even though Complainant alleges a loss of business at the terminals, Complainants did not lose all their business at the terminals. (*See, e.g.*, CX_02040-CX_02043). Thus, if the goal was to make the terminals more efficient by limiting the number of stevedores operating at the terminals, then the preferred stevedoring agreement, and accompanying terminal schedule, did not accomplish that goal. In fact, the terminal schedule was drafted in a way that did not actually limit access to the terminal. In short, the higher fee charged to the non-preferred stevedores does not accomplish the goal of efficiency.

Respondent’s second justification is safety. There is evidence in the record that Respondent selected a stevedore, in part, based on the stevedore’s safety record. (Brown Dep., CX_00075:21-CX_00076:22). In addition, there is some testimony in the record regarding Respondent’s perception of Complainants’ safety record. For example, one of Respondent’s officers heard that Complainants had a poor reputation for safety. (Brown Dep., CX_00149:14-CX_00150:2; CX_00151:24-CX_00152:6; Buben Dep., CX_00371:1-13). There is testimony about incidents that Complainants did not report. (Buben Dep., CX_00417:6-CX_00417:18). There is also evidence in the record of accidents that happened in 2023, after the November 1, 2022, preferred stevedoring agreement was announced. (CX_01540-CX_01554).

Safety is a valid goal. But again, the higher access fee imposed on Complainants does not achieve that goal. As noted above, despite the higher access fee, Complainants continued to operate on Respondent’s terminals. Indeed, the record contains reports of an accident in April 2023 involving one of Complainants’ drivers on Respondent’s terminal. (CX_01540-CX_01554). Therefore, the higher access fee does not achieve the safety goal.

Respondent’s third justification for the higher fee is the financial risk of continuing to permit the non-preferred stevedore to operate at its terminals. The preferred stevedore agreement contains indemnity, insurance and dispute resolution agreements. (CX_01328-CX_01341; Taylor Dep., CX_00683:10-CX_00684:1, Buben Dep., CX_00355:3-15; Respondent’s Answer to Interrogatory Nos. 11 and 17, CX_01508, CX_01510). Respondent asserted that non-preferred stevedores pose a financial risk because they did not sign an agreement with indemnity and insurance requirements, as well as a dispute resolution clause. (Brown Dep., CX_00083:13-CX_00084:1, CX_00274:3-CX_00277:14; Buben Dep., CX_00450:23-CX_00451:4, *see also*

Respondent's Answers to Interrogatory Nos. 11 and 17, CX_01508, CX_01510). I assume, without deciding, that offsetting increased financial risk may be a reason to justify charging one stevedore a higher fee than another.

Complainants respond first by asserting that Respondent's tariff schedule already contains indemnity provisions. I agree. Complainants are subject to the indemnification provisions in the tariff schedule. (*See* 46 U.S.C. § 40501(f) ("Any such schedule made available to the public is enforceable by an appropriate court as an implied contract without proof of actual knowledge of its provisions.")). The tariff schedule in effect from January 1, 2023, through May 15, 2024, provides that "customers" shall indemnify Respondent for damage to property other than cargo and personal injury, customers assume the risk of working on Respondent's terminals, and anyone using the Terminal is responsible for damage to the terminal. (*See* CX_01751-52, CX_01762). "Customer" is defined broadly essentially to include anyone who uses the terminal.⁵ (CX_01753). Thus, Complainants are "customers" subject to the indemnification provisions. Because Complainants are subject to the indemnification provisions of the tariff schedule, Respondent cannot rely on a Complainants' lack of indemnification obligation to justify a higher fee charged to the non-preferred stevedore.

Complainants assert that the tariff schedule requires Complainants to carry insurance. Complainants argue that the tariff schedule requires that customers comply with all laws and regulations, including from the Maryland Port Authority. In turn, Complainant argues that MPA Schedule 23 requires insurance. (Opening Brief, pp. 19-20 n.5). I do not agree with Complainants' analysis, however. The MPA schedule appears to be limited in scope to terminals and facilities owned by MPA, such as the Fairfield Terminal, which neighbors Respondent's privately owned terminals.⁶ (*See, e.g.,* Molyneaux Dep., CX_00845:25-CX_000846:2) ("Fairfield Terminal is owned by the Maryland Port Authority . . ."). The only other insurance requirement in the tariff schedule relates to vessels berthing at the terminals. (CX_01763). Therefore, nothing in the tariff schedule appears to require Complainants, the non-preferred stevedore, to have insurance.

Nevertheless, I find that the insurance requirement in the preferred stevedoring agreement does not justify the "much higher" access fee charged to the non-preferred stevedore. As noted above, Complainants have indemnification obligations vis-à-vis Respondent per the tariff schedule. Moreover, because Complainants and Ceres are the only stevedores operating at the Respondent's terminals, Complainants are the only realistically foreseeable non-preferred stevedore who would operate at Respondent's terminals. Thus, Complainants would almost certainly be the only non-preferred stevedore who could cause an injury to a third party for which Respondent might be held liable. But, even without insurance, it appears that

⁵ Customer is defined in the tariff to mean any: "vessel, vessel owner, carrier, agent, vessel operator, vehicle, conveyance, consignor, consignee, beneficial Cargo owner, person, Cargo, equipment, chassis, or any other person or entity, including but not limited to the agent, other providers, and other subcontractors (at any level) of any of the foregoing, that uses the Terminal facilities...."

⁶ *See* MPAScheduleNo23FinalCoverTOC12-04-2017.pdf (last visited December 16, 2024), pp. 6-7.

Complainants would be able to satisfy its indemnification obligations to Respondent. Indeed, Respondent argues that Complainants collectively are a large stevedore, with operations at several terminals within the Port of Baltimore, as well as at many other ports. Respondent even goes so far as to characterize Complainants as a “Goliath[.]” Therefore, Respondent cannot persuasively justify charging a “much higher” access fee to Complainants because the Complainants do not have an obligation to provide insurance to Respondent.

The final justification for charging Complainants a much higher access is that the preferred stevedore had a dispute resolution mechanism written into its agreement. I appreciate the general desire to avoid litigation, and thus a dispute resolution mechanism may have value. The value of such a mechanism is unclear, however. Parties with a dispute do not necessarily need a contractual provision to come to a mutually agreeable resolution. Conversely, a contractual dispute resolution clause does not guarantee litigation avoidance.

In short, I am not persuaded that the higher access fee is justified by the financial risk to Respondent. Complainants are subject to indemnification requirements; the lack of any insurance requirement is likely mitigated by the size of Complainants; and the absence of a dispute resolution mechanism between Complainants and Respondent does not appear to justify the “much higher” access fee.

Because the higher access fee imposed on the non-preferred stevedore does not appear to be reasonably related, fit and appropriate to the reasons given for the preferred stevedoring agreement, I find that Respondent has not carried its burden of proof to refute Complainants’ *prima facie* case. I find that Complainants have demonstrated that the \$25/per vehicle access fee imposed by Respondent on the non-preferred stevedores is unjust and unreasonable under § 41102(c).

2. The \$10/Per Vehicle Access Charge Effective June 1, 2024.

Complainants also argue that the \$10/per vehicle access charge assessed on all stevedores effective June 1, 2024, is also unreasonable under § 41102(c). Complainants argue that the Respondent failed to substantiate the basis for the charge, and also failed to provide sufficient notice of the charge imposition. (Opening Brief, pp. 24-28).

This issue is not properly before me. Complainants did not seek leave to amend their complaint. In general, amendments are allowed in the discretion of the Commission or presiding officer, but “[n]o amendment will be allowed that would broaden the issues, without opportunity to reply to such amended pleading and to prepare for the broadened issues.” (46 C.F.R. § 502.66(a)).

Here, the Complainants are attempting to broaden the issues without giving Respondent an opportunity to respond and prepare a defense. Complainants, who filed the Complaint in May 2023, are broadening the scope of the litigation by making allegations and seeking an order related to a policy whose effective date was June 1, 2024, approximately a year after the Complaint was filed. The parties engaged in no discovery about the policy effective June 1, 2024. Indeed, discovery ended before the June 1, 2024, policy was announced in May 2024; fact

discovery was completed March 15, 2024, and depositions were all completed by April 29, 2024. (CX_01201; *see also* Mot. Compel Order, p. 5).

Moreover, despite some similarities and the relationship between the two policies, the policy effective June 1, 2024, is materially different from the preferred stevedoring agreement that is the subject of the Complaint. I acknowledge that in granting the Emergency Motion, Judge Chintella indicated that the issue appeared to be relevant because Complainants described the impact of the access charge as continuing, and because Respondent asserted that it altered its access charge in response to this matter. (Order re: Emergency Mot., p. 1). I also acknowledge that Complainants argue that the \$10/per vehicle access charge suffers from the same defects as the \$25/per vehicle access fee, *i.e.*, the fee levied is not reasonably related to the service rendered. (*See, e.g., VWA*, 390 U.S. at 282). Nevertheless, the two policies are substantially different because the preferred stevedore agreement imposed different access fees on different stevedores. Indeed, the difference in access fee is a central allegation in both the first and second Counts of the Complaint. (*See* Complaint, CX_00016, CX_00018-CX_00021). Because of that difference, I find that the issue of the \$10/per vehicle access charge effective June 1, 2024, is not properly before me.

Even if the \$10/per vehicle access charge were properly before me, Complainants' arguments for why it is unreasonable are not persuasive.⁷ First, Complainants argue Respondent failed to substantiate the access charge for any amount, asserting that the charge represents an attempt by Respondent to recover general capital expenditures without conferring new benefits on stevedores. (Opening Brief, pp. 25-26). All of the cases that Complainants cite for support, however, all involve a situation where one party or group was singled out or was made to bear a significantly higher share of costs than others. (*See VWA*, 390 U.S. at 266 (complainant auto carrier had to pay 10 times as much for automobiles than other cargo); *Louis Dreyfus*, 25 F.M.C. at 60 (only ships over 100 feet or 500 tons were required to pay fees); *Flanagan Shipping*, 27 S.R.R. at 1125 (only stevedore was required to pay fees related to railroad switching); *CMT*, 1997 WL 35181266, at *39 ("Ceres and Maersk used the Port's facilities for the same purpose but the rates assessed Ceres for the same services are excessive.")).⁸ Here, the \$10/per vehicle charge is assessed against all stevedores. Without more, Complainants' argument fails to carry

⁷ The first three elements of a claim under § 41102(c) (*see* 545 C.F.R. § 4) are met vis-à-vis the flat \$10/per vehicle access charge that was effective June 1, 2024: Respondent is an MTO; the \$10/per vehicle access charge constitutes a practice; and the charge is related to cargo handling. The fourth element is discussed in the main text and is not satisfied. Although I do not need to reach the fifth element, proximate causation, it is unclear that Complainants could satisfy the fifth element because all stevedores are treated equally under the policy effective June 1, 2024.

⁸ Complainant also cites *Mar-Mol Co. and Copycorp. v. Sea-Land Service, Inc.*, 1996 WL 734232 (ALJ 1996). That case is not instructive because the fee at issue there was based on the respondent's misrepresentation. There, the respondent attempted to pass a tax levy along to complainant – the respondent, however, was not required to pay the tax: "The phantom tax, a total misrepresentation, is grossly irregular, unjust, inequitable and an inappropriate means of revenue enhancement." (*Id.*, at *26-*29).

its burden of showing how attempting spread the cost of expenditures among a class of terminal users, instead of upon a single, non-preferred stevedore, is unreasonable.

Second, Complainants argue that the \$10/per vehicle access charge was imposed without proper notice, while at the same time acknowledging there is nothing in the FMC regulations that requires a 10-day notice period for fees on stevedores. (Opening Brief, pp. 26-28). Thus, Complainants essentially admit their argument lacks merit. Complainants assert that Respondent's amended tariff schedule of May 15, 2024, stated that Respondent would provide 10-days of notice before imposing a new access fee. (CX_01854). Complainants also assert that Respondent issued another new tariff on May 24, 2024, which became effective as of June 1, 2024, which was fewer than 10 days. (CX_01924-CX_01927). Complainants, however, point to no regulation or other authority that would prevent the revised access fee from becoming effective 10-days from May 24, 2024, or 10-days after Complainants obtained notice of the new access fee. In contrast, by statute, a carrier tariff increase cannot become effective for 30 days unless the Commission permits a fee increase sooner on good cause shown. (46 U.S.C. § 40501(e)). There is no analogous statutory provision for MTO schedules. Because there is no authority preventing the \$10/per vehicle charge from becoming effective immediately, Complainants' argument is not persuasive.

Therefore, Complainants' arguments regarding the \$10/per vehicle access charge are not properly before me. Even if they were, they are not persuasive.

3. Respondent's Schedule Reasonably Does Not Permit Respondent to Charge Fees Against Complainants.

Returning to the preferred stevedoring agreement, Complainants assert that it is unreasonable for Respondent to charge \$25/per vehicle to the Complainants because the express language of the tariff schedule effective from January 1, 2023, through May 15, 2024, does not impose any such charge against Complainants. Complainants argue that the tariff schedule actually imposed the access fee on carriers and OEMs who utilize non-preferred stevedores. Therefore, it is unreasonable for Respondent to send invoices for access fees imposed pursuant to the preferred stevedore agreement to Complainants.

The first three elements of a claim under § 41102(c), as enumerated by 46 C.F.R. § 545.4, are satisfied. First, Respondent is an MTO. The second element, whether the claimed act occurs on a normal, customary or continuous basis, is satisfied. Respondent sent invoices to Complainants for several months of unpaid fees, and has consistently taken the position during this matter that Complainants owe the unpaid access fees to Respondent. (Complaint, CX_00014; Answer, CX_00030; Response, p. 28 ("With respect to the fourth element, the simple fact of the matter is that Ports America has not paid APS the fees which are owed under the tariff")). And third, the access fees are connected with the receiving, handling, storing or delivering property because the access fees are imposed based on a stevedore's handling of cargo, namely RO/RO cargo such as automobiles.

At issue is whether Respondent's practice of charging Complainants for the \$25/per vehicle access fee is unjust and unreasonable. In general, tariffs are construed reasonably, without a strained or unnatural construction. (*D.F. Young, Inc. v. NYK Line (North America) Inc.*,

2017 WL 3382690, *18 (ALJ Aug. 1, 2017) (quoting *S.A. Chiarella v. Paeon Express, Inc.*, 2001 WL 1085424, *3 (FMC Aug. 15, 2001)). Tariff interpretation is governed by the express language of the tariff, not the unexpressed intent of the author. (*C.S.C. Int'l v. Lykes Bros.*, 20 F.M.C. 552, 555 (ALJ, 1978)). If a tariff is ambiguous, the ambiguity is resolved against the drafter. (*Chiarella*, 2001 WL 1085424, at *3).

Here, the relevant tariff schedule describes the preferred stevedore agreement. (CX_01751). Afterwards, it provides: “If a customer would like to continue to use their current partnership with another stevedoring company, they will be able to do so by paying a \$25.00 per unit fee.” (CX_01751-52). The term “customer” is broadly defined to include a vessel and its owner, but also “any other person or entity.” (CX_01753). In practice, however, despite the broad definition of “customer,” stevedores generally work for carriers or OEMs. (Complaint, CX_00006; Answer, CX00028; CX_02062-CX_02256). Therefore, in context, the reasonable and natural reading of the term “customer” refers to those entities – *i.e.*, carriers and OEMs – that would have a “current partnership with another stevedoring company[.]”

Reading the provision in context, it is fairly rephrased, and best understood, as meaning: “if a carrier/OEM would like to continue to use its current partnership with another stevedoring company, it [the carrier/OEM] will be able to do so by paying a \$25.00 per unit fee.” Thus, the fee is imposed not on the non-preferred stevedore, but on the carrier/OEM that wishes to use the non-preferred stevedore. Therefore, based on the plain language of the tariff schedule, it was not reasonable for Respondent to bill the Complainants for the non-preferred stevedore access fees.

Finally, the fifth element of a violation of § 41102(c) is proximate cause. (46 C.F.R. § 545.4). Complainant easily clears this hurdle because the invoices Respondent sent Complainants (Complaint, CX_00014; Answer, CX_00030) are directly related to the practice at issue.

The burden thus turns to Respondent to justify its practice. Respondent asserts that its “language may have originally been unclear and required clarification.” (Response, p. 32). I disagree, however, with Respondent’s assertion that the tariff schedule’s language is “unclear.” It is clear. Given the context of who hires stevedores, the reasonable and natural reading of the tariff schedule provision at issue clearly provides that the carriers and OEMs are responsible for paying the access fee.

Respondent argues that it sent Complainants a letter clearly stating that Complainants are responsible for the \$25/per vehicle fee, and Complainants confirmed that understanding in communications with third parties. (Response, p. 32; *see also* CX_01520-CX_01524). That is not a relevant fact. As noted above, the express language of the tariff is operative. (*C.S.C. Int'l*, 20 F.M.C. at 555). The express language of the tariff provision at issue, understood in context, provides that the carriers and OEMs responsible for the payment of the \$25/per vehicle access fee. And even if the express language of the tariff schedule were ambiguous, it would be interpreted against the drafter. (*Chiarella*, 2001 WL 1085424, at *3). Respondent’s letter does not change the express language of the tariff schedule, nor does Respondent cite to any authority allowing its letter to affect a change to the tariff schedule.

Therefore, Respondent does not justify its practice of asserting that Complainants were responsible for paying the \$25/per vehicle access fee.⁹

Because the tariff schedule provides that the \$25/per vehicle access fee is actually imposed on a carrier/OEM using a non-preferred stevedore, there was no basis in the tariff schedule for Respondent to send \$1.277 million in invoices to Complainants for January 2023 through March 2023. As will be discussed below, I will order Respondent to cease and desist efforts to collect the \$1.277 million in unpaid invoices from Complainants because it was not a just and reasonable practice.

4. Argument Related to Interference with Business Relations with Carrier Customers.

Complainants fourth argument is essentially an alternate theory as to why the preferred stevedoring agreement and the \$25/per vehicle access fee violates § 41102(c). In short, Complainants are now arguing that the \$25/per vehicle access fee unreasonably interfered with Complainants' contractual relationships with carriers and OEMs. Complainants assert that Respondent knew that Complainants had existing business relationships with carriers and OEMs, that the preferred stevedoring agreement would interfere with those arrangements, and that would potentially cause Complainants' customers to take their business to Ceres. (Opening Brief, pp. 38-40). Complainants also assert that Respondent had no valid justification for its interference with Complainants' business relationships. (Opening Brief, pp. 40-41). Complainants argue that this conduct violated § 41102(c) by unjustly and unreasonably interfering with Complainants' contractual relationships. Complainants cite Maryland cases discussing tortious interference with contract for support. (Opening Brief, pp. 37-38).

As an initial matter, Complainants have already demonstrated that Respondent violated § 41102(c) by imposing a higher access fee on Complainants than on the preferred stevedore, without conferring any additional benefit and without sufficient justification. Accordingly, this argument presents an alternative theory for a violation Complainants have already shown.

I am not persuaded that Complainants advance a valid theory. As noted, Complainants essentially try to argue that Respondent's conduct both constitutes a tort under state law and, for the same reason, is unjust and unreasonable under § 41102(c). Complainants, however, do not explain how a business tort under Maryland law is also an unjust and unreasonable practice under § 41102(c). The Commission stated that: ". . . while tenets of state and common law may be evidence of reasonableness and of local business practices, they are not alone dispositive of Shipping Act issues, absent a showing that these principles directly apply to Shipping Act considerations." (*WGMA*, 21 F.M.C. at 249) (citation omitted). Without more, Complainants

⁹ It is not clear from the record if Respondent has sent invoices to the carriers and OEMs. If Respondent did, however, it appears that the carriers and OEM would likely be able to challenge the reasonableness of the preferred stevedoring agreement successfully. The preferred stevedore agreement requires the carriers and OEMs to pay substantially higher fees to use Complainants as opposed to Ceres for the same services, but with no valid justification for the higher fees.

have not demonstrated how Respondent's conduct violated was also unjust and unreasonable for purposes of § 41102(c).

In any event, in *MRS*, 2013 WL 9808672, an ALJ permitted the respondent to engage in practices which resulted in driving business away from the complainant. There, the respondent leased a terminal from the port administrator. (*Id.*, at *23). Respondent, who was the exclusive stevedore at one of the few container terminals in the port, offered customers repair services and tied its services to lower stevedoring rates. (*Id.*, at *23). The complainant alleged that it lost several customers to respondent, alleging that some of its customers informed complainant that "they would have preferred to continue to use [complainant], but felt compelled to enter into the bundling arrangements so as to obtain reduced stevedoring rates." (*Id.*, at *23). The ALJ rejected that argument. (*Id.*, at *39). The ALJ noted that while complainant lost customers, "[t]he fact remains that those customers have made voluntary business decisions to put cost savings above their loyalty to MRS. . . ." (*Id.*, at *39). In the present case, while the preferred stevedoring agreement would add a cost to services Complainants provided third party carriers and OEMs, the third parties could continue to choose to use Complainants. In fact, some of them did as is evidenced by the fact that Complainants apparently stevedored a substantial number of vehicles in the first three months of 2023, and continued to use Complainants' services, albeit at a reduced volume. (Complaint, Attachment B; CX_01491; CX_02040-CX_02043).

In short, Complainants do not advance a valid theory of how conduct that would constitute a tort under Maryland law is also a violation of § 41102(c). Nevertheless, as discussed above, Complainants already demonstrated a violation of § 41102(c) under another theory.

C. Alleged Violation of 46 U.S.C. § 41106(2).

Complainants allege that the preferred stevedoring agreement announced on November 1, 2022, constitutes a violation of 46 U.S.C. § 41106(2). (*See* Complaint, CX_00015-CX_00017). That section states that an MTO may not "give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person[.]" (46 U.S.C. § 41106(2)). For the reasons discussed below, I find that Complainants have demonstrated that Respondent violated § 41106(2) to the extent that Respondent charged different fees to competing stevedores. Complainants have not demonstrated Respondent violated § 41106(2) for failing to invite Complainants to bid on the licensing agreement.

The parties agree that there are generally four elements of a claim under § 41106(2): (1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury. (*CMT*, 1997 WL 35281266, at *31).

Complainants advance two theories regarding how Respondent violated § 41106(2). First, Complainants assert that Respondent treated Complainants differently by excluding Complainants from the RFQ process. Second, Complainants argue that they were treated differently than Ceres, as Complainants were charged a much higher per/vehicle access fee.

Respondent again argues that it is unnecessary to reach the elements of a claim under § 41106(2) because Complainants fail to show an effect on the market. (Response, pp. 12-22). Cases have found an unreasonable preference without a discussion of the effect of the respondent's conduct on the market. For example, in *Santa Fe Discount Cruise Parking, Inc., D/B/A EZ Cruise Parking v. The Bd. of Trustees of the Galveston Wharves*, 2021 WL 1575018, *13-*20 (FMC 2021) ("*EZ-Cruise*"), the Commission found an unreasonable preference existed where a cruise-ship terminal operator charged access fees to courtesy buses from a long-term parking lot, whereas limousines were not charged any such fees, and other shuttle buses were not charged the correct amount. Therefore, I will now address the four factors identified in the Commission's decision in *CMT* in turn.

1. Competitive Relationship.

Respondent does not contest the first issue, namely that Complainants and Ceres were in a competitive relationship. (Response, p. 26). Therefore, I find that this element is satisfied.

2. Different Treatment.

Regarding the second element, that Complainants and Ceres were afforded different treatment, I find that Respondent treated Ceres and Complainants differently and unequally. Respondent acknowledges that it did not ask Complainants to bid on the stevedore license, whereas it asked several other stevedores to bid. (CX_01306; Brown Dep., CX_00112:6-10; Buben Dep., CX_00367:9-20; CX_00371:1-13). In addition, under the preferred stevedore arrangement Respondent announced on November 1, 2022, the parties represent that the \$25/per unit fee charged to non-preferred stevedores is "much higher" than the amount charged to the preferred stevedore. (Opening Brief, p. 6; Dkt. 37, pp. 20-21, ¶¶ 59-60).

Respondent tries to negate the second element of a claim under § 41106(2) by asserting that it gave consideration to Complainants, as well as others, as a possible stevedoring partner. Respondent argues, therefore, that Complainants were not treated differently. (Response, p. 26). Respondent, however, asserts that it ultimately did not seek a bid from Complainants due to concerns about Complainants' safety record. (Response, pp. 26-28). Respondent's argument is better considered under the third element, *i.e.*, whether the unequal treatment is justified.

3. Justification for Unequal Treatment.

The third element of a claim under § 41106(2) asks whether the unequal treatment was justified by differences in transportation factors. While the ultimate burden of persuasion rests on the complainant, the burden of production regarding the justification of the unequal treatment on the respondent. (*EZ-Cruise*, 2021 WL 1575018, *8-*9).

Complainants advance two theories for how they were treated unequally. Complainants' first theory is that they were treated unequally because Complainants were not offered the opportunity to bid on the preferred stevedoring agreement.

Respondent asserted that Complainants were not asked to submit a bid because Complainants had a poor safety reputation around the Baltimore port as well as Respondent's own poor experiences with Complainants. (Response, pp. 26-28).

Based on the evidence in the record, I find that Respondent carried its burden of demonstrating that it was justified in declining to ask Complainants to bid on becoming the preferred stevedore. The reasons given for Respondent's claim that Complainants had a poor safety record – such as unsubstantiated rumors or vague allegations of unreported incidents (Brown Dep., CX_00149:14-CX_00150:2; CX_00151:24-CX_00152:6; Buben Dep., CX_00371:1-13, CX_00417:6-CX_00417:18) – are not strong. Nevertheless, I accept that this is more likely than not the reason Respondent did not consider the Complainants to be a viable potential stevedoring partner. Several witnesses pointed to safety as a concern with Complainants. (Brown Dep., CX_00149:14-CX_00150:5; Buben Dep., CX_00417:6-CX_00417:13, Taylor, CX_00597:8-22; CX_00642:1-7; Molyneaux Dep., CX_00831:12-19). Moreover, no other reason for excluding Complainants from the bidding process is discussed in the record. I acknowledge that the record has evidence of Complainant PAC's "world class" safety record. (Bevilacqua Dep., CX_01250:17-CX_01251:1; Schmidt Dep., CX_01154:12-CX_001154:22). Regardless, Respondent, presumably acting in its own best interests, found sufficient reason for excluding Complainants from consideration as a stevedoring partner due to Respondent's understanding of Complainants' safety record. For these reasons, I find that Respondent had a sufficient, valid transportation-related reason for not wanting Complainants to be the preferred stevedore.

Complainants second theory for unequal treatment is the difference in access fee charged Complainants versus the access fee charged to Ceres. This is similar to one of Complainants' arguments under § 41102(c), *i.e.*, it was unreasonable for Respondent to charge a much higher per vehicle access fee to Complainants than the preferred stevedore. Likewise, Respondent points to similar justifications for the higher fee: efficiency, safety, and mitigation of financial risk. (Response, p. 28). I discussed above, however, why those justifications are not persuasive.

Respondent also argues that the Commission gives significant deference to reasonable commercial decisions. (Response, pp. 23-25). But, this argument is not persuasive. In one of the cases cited by Respondent, the Commission reversed an ALJ's initial decision and found that the terminal operator violated § 41106(2). (*EZ-Cruise*, 2021 WL 1575018, at *14-15). The Commission found that a terminal operator offered essentially no justification for its decision to charge no terminal access fees to limousine operators, whereas it charged access fees to a shuttle bus company. (*Id.*). The Commission stated that: ". . . the Commission shows deference to public port authorities and will usually not second guess their reasoning." (*EZ-Cruise*, 2021 WL 1575018, at *15). The Commission, however, continued, stating that: "But a port authority must provide its reasoning before the any deference can be shown." (*Id.*). Here, even though Respondent provided some reasons for its disparate treatment of one stevedore vis-à-vis the other, the reasons do not justify the disparate treatment – even considering some deference to the reasons Respondent offered.

Accordingly, I find that two stevedores operated at Respondent's terminals, with one owing a "much higher" access fee than the other one, but there being no convincing reason for the one stevedore owing a higher amount.

4. The Resulting Prejudice or Disadvantage is the Proximate Cause of Injury.

Finally, the last element of a claim under § 41106(2) is proximate causation. Complainant satisfies this element. At the very least, Respondent gave invoices to Complainants for stevedoring vehicles in early 2023 that were based on the “much higher” access fee charged to the non-preferred stevedore. Had the invoices been based on the rate charged to the preferred stevedore, it is more likely than not that the invoices would have been for a substantially lesser amount.

Therefore, I find that Complainants have established a violation of § 41106(2).

D. Alleged Violation of 46 U.S.C. § 41106(3).

The Complainants’ third count alleges a violation of § 41106(3), which provides that an MTO may not “unreasonably refuse to deal or negotiate.” “This requires a two-part inquiry: whether [respondent] refused to deal or negotiate, and, if so, whether its refusal was unreasonable.” (*Canaveral Port Auth., Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, 29 S.R.R. 1436, 1448 (FMC 2003)). Refusal to deal or negotiate can be justified by legitimate transportation reasons. (*See New Orleans Stevedoring Co. v. Bd. of Comm’rs of the Port of New Orleans*, 29 S.R.R. 1066, 1070 (FMC 2002)).

Complainants allege that Respondent unreasonably did not permit them to bid for the preferred stevedoring arrangement, and did not give Complainants meaningful consideration for the future. (Opening Brief, pp. 54-59). Respondent contends that Complainants were considered as a potential stevedoring partner, but Complainants were ultimately considered unsuitable as a partner. As for future consideration, Complainants never followed up on an invitation to provide information to Respondent. Finally, Respondent had well-founded concerns about Complainants’ safety. (Response, pp. 34-37).

I accept Complainants’ assertion that it was excluded from competing for the exclusive stevedoring agreement. Respondent’s response – that Complainants were not a suitable partner – goes to whether the exclusion was reasonable. Thus, the first element of a violation of § 41106(3) is satisfied.

I am not persuaded, however, that Respondent acted unreasonably in concluding that Complainants was not a suitable partner. As discussed above, several of Respondent’s witnesses testified that Respondent had concerns regarding Complainants’ safety record. (Brown Dep., CX_00149:14-CX_00150:5; Buben Dep., CX_00417:6-CX_00417:13, Taylor, CX_00597:8-22; CX_00642:1-7; Molyneaux Dep., CX_00831:12-19). Although Complainants protest by claiming PAC’s safety record was “world class” (Bevilacqua Dep., CX_01250:17-CX_01251:1; Schmidt Dep., CX_01154:12-CX_001154:22), it is not clear that Respondent would have had such information. Regardless, I accept that Respondent may have had too many bad experiences with Complainants despite Complainants’ safety record. Indeed, as noted above, evidence shows Complainants’ stevedore caused an accident on Respondent’s terminal in April 2023. (CX_01540-CX_01554). In light of the evidence in the record, I find it to be more likely than not

that Respondent's concern about Complainants' safety record was a legitimate concern, and thus a basis for concluding that Complainants would not be a suitable stevedore partner.

Complainants also allege that Respondent violated § 41106(3) because Respondent stated in a letter that Complainants may be well-suited to be a preferred stevedore in the future, but requested safety records and efficiency metrics from Complainants. (Opening Brief, pp. 56-58; CX_01524). I am not persuaded that Respondent's asking for records and metrics constitutes an unreasonable refusal to deal – especially when there is some evidence in the record that Respondent had concerns about Complainants' safety record. Indeed, given Complainants' "world class" safety record, it seems like Complainants would want to share information about its safety record. Ultimately, Respondent eliminated the preferred stevedoring arrangement altogether, and imposed an access charge on all stevedores. (CX_01854; CX_01962). Thus, Respondent appears to have dealt or negotiated with no one regarding a follow-up to the preferred stevedore arrangement.

For these reasons, I find that Complainants' allegation that Respondent violated § 41106(3) does not have merit.

IV. REMEDIES

As noted above, I find Respondent violated § 41102(c) and § 41106(2) by charging a "much higher" access fee to the non-preferred stevedores operating at its terminals compared to the access fee charged to the preferred stevedore without sufficient justification. Complainants seek both a cease and desist order and reparations. I discuss these remedies in turn.

A. Cease and Desist.

Complainants seek an order requiring Respondent to "cease and desist from any further charging, invoicing or collection efforts in connection with the \$25 access fee." (Opening Brief, pp. 37, 65). Respondent no longer charges the \$25/per vehicle access fee to non-preferred stevedores, so I do not need to discuss Complainants' request for a cease and desist order regarding "further charging [or] invoicing" the \$25/per vehicle access fee into the future. I also do not need to address Complainants' request for a cease and desist order regarding the \$10/per vehicle access fee imposed on all stevedores, as I find that Complainants have not carried their burden of demonstrating that it violates § 41102(c). I will, however, order that Respondent cease and desist from collecting the \$25/per vehicle access fee from Complainants.

"The Commission has the authority to order regulated entities to cease violating the Shipping Act. A cease-and-desist order is justified if the Commission finds a Shipping Act violation and has determined that the unlawful conduct is likely to continue or resume unless Respondents are ordered to stop." (*IMCC*, 2024 WL 641501, at *43 (citations omitted)). "Where, as in this case, the complainant is seeking a cease-and-desist order, it needs to prove that the order will address harm proximately caused by violating Section 41102(c)." (*Id.*, at *19) (citations omitted).

As noted above, the tariff schedule, when read fairly, imposed the access fee on the carriers and OEMs, not the stevedores. (CX_01751-CX_01753 ("If a customer would like to continue to use their current partnership with another stevedoring company, they will be able to

do so by paying a \$25.00 per unit fee.”)). Although Respondent sent a letter to Complainants indicating that Respondent would charge the access fee to the Complainants, the tariff schedule itself, which is enforceable as an implied contract (46 U.S.C. § 40501(f)), was not changed. Respondent cites no authority allowing it to alter the meaning of the published tariff schedule by means of a letter. Indeed, publishing the schedule provides public notice of the MTO’s rates, terms and conditions; altering the meaning schedule by a private letter undermines the public notice aspect of the published schedule.

Because the tariff schedule did not permit Respondent to charge the Complainants the \$25/per vehicle access fee, I find above that it was unjust and unreasonable and a violation of § 41102(c) for Respondent to do so. I also find that charging Complainants the \$25/per vehicle access fee caused harm to Complainants in the form of \$1.277 million in invoices for the first few months of 2023. In addition, Respondent essentially takes the position that Complainants would owe the \$25/per vehicle access fee so long as the tariff schedule that was first published January 1, 2023, was in effect, that is, until May 15, 2024. (Response, pp. 43 (“Ports America further fails to acknowledge the fact that it neither passed through, nor paid to date any amount in access fees[.]”) (emphasis in original)). Thus, Respondent would also cause harm to the extent Respondent charges Complainants additional access fees for the rest of the January 1, 2023, through May 15, 2024, time period, over and above the invoices it already sent Complainants.

I find that a cease and desist order requiring Respondent to stop invoicing Complainants for the \$25/per vehicle access fee from January 1, 2023, through May 15, 2024, or attempting to collect the \$25/per vehicle access fee from Complainants, would address the harm resulting from Respondent’s caused by collecting fees in contravention of the published schedule in violation of § 41102(c). I also find that it is more likely than not that the harm caused by Respondent’s conduct will not be resolved without a cease and desist order. Accordingly, I will order that Respondent cease and desist from violating the Shipping Act by establishing, observing and enforcing the unreasonable practice of charging Complainants with the \$25/per vehicle access fee in connection with receiving, handling, storing or delivery property at Respondent’s Atlantic and Chesapeake terminals in the Port of Baltimore from the period of January 1, 2023, through May 15, 2024.

B. Reparations.

The Commission “shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Shipping Act. (46 U.S.C. § 41305(b)). The term “actual injury” includes “the loss of interest at commercial rates compounded from the date of injury.” (46 U.S.C. § 41305(a)). Complainants bear the burden of proving that they are entitled to reparations. (*MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022)). The Commission explained that: “(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” (*MAVL Capital*, 2022 WL 2209421, at *3 (quotations omitted)). Reparations will only be awarded based on actual damages. (*MAVL Capital*, 2022 WL 2209421, at *3) (citations omitted). “Actual damages means ‘compensation for the actual loss or injuries sustained by reason of the wrongdoing’ which complainants must show to a reasonable degree of certainty.” (*MAVL Capital*, 2022 WL 2209421, at *3 (quotations

omitted)). “That does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.” (*MAVL Capital*, 2022 WL 2209421, at *3) (citations omitted).

The Commission’s decision in *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 2001 WL 865708, Dkt. No. 96-05 (FMC June 7, 2001) is instructive. There, the complainant tried to demonstrate lost profits by submitting a profit and loss statement and journal entries prepared by the complainant and introduced through its officer. The complainant calculated the number of containers it would have moved but for respondent’s actions, as well as its per-container profit to calculate its lost profits. (*Rose Int’l*, 2001 WL 865708, at *76). The Commission affirmed the ALJ’s decision rejecting the complainant’s lost profit claims. (*Id.*, at *79). The Commission noted that lost volume is not the same as lost profit, and noted that the complainant’s calculations failed to consider that costs may vary based on volume of work performed. (*Id.*, at *77-*78). The Commission also noted that the complainant failed to consider competition and other market factors in its analysis. (*Id.*, at *78). The Commission noted that the complainant assumes that its customers would have shipped with complainant but for the respondent’s actions, but there was no proof in the record to substantiate that assertion, such as “testimony or affidavits from its former customers to support that claim.” (*Id.*). Further, the Commission noted that complainant’s profit and loss statements and journal entries were not independently and objectively verified. (*Id.*, at *79).

Complainants’ evidence of lost profits consists of three general elements. (*See generally* Opening Brief, pp. 60-65). First, Complainants show lost volume by way of confidential spreadsheets, confidential interrogatory answers, and deposition testimony from PAC’s corporate representative. (*See generally* CX_02040-CX_02043, CX_01532, CX_01562, Schmidt Dep., CX_01114-CX_01144). Second, Complainant states the amount of lost EBITDA in confidential interrogatory answers and via confidential deposition testimony. (CX_01532, CX_01562, Schmidt Dep., CX_01114-CX_01144). Third, Complainants point to correspondence from carriers protesting the \$25/per vehicle access fee, correspondence between carriers and Complainants regarding the access fees, and deposition testimony regarding the access fees. (CX_01367-CX_01368; CX_01371-CX_01379; CX_01573; Schmidt Dep., CX_01160:4-CX_01161:19; CX_01166:12-19).

Complainants’ evidence does not persuade me that the amount of damage claimed by Complainants is more likely than not.

The evidence of the volume loss is not persuasive. Although the evidence of volume loss appears in spreadsheets, interrogatory answers and deposition testimony, there is no evidence that any of the volume loss numbers were corroborated by an outside, independent source. Similarly, the Commission in *Rose Int’l* looked unfavorably on the unverified documents the complainant in that matter submitted. (*Rose Int’l*, 2001 WL 865708, at *79).

Even if the evidence of the lost volume was accurate, it is unclear whether the loss of volume was caused by the \$25/per vehicle access fee. I appreciate that the evidence shows that one carrier, Grimaldi, directly stated in an email that that the carrier took its business to Ceres due to the access fee. (CX_01573). Also, Complainants entered into an arrangement with one carrier, and, correspondingly, lost relatively a small amount of volume vis-à-vis that carrier.

(Schmidt Dep., CX_01130:9-CX_01137:5; *see also* CX_02040). Both facts are consistent with the idea that the higher access fee led to a loss of volume. Further, I also appreciate that, in general, if two competitors offer similar services, but one has a substantially lower price than the other, then business will likely flow to the lower-priced service provider.

Nevertheless, I do not find Complainant's evidence to be persuasive. Complainants' witness testified that there are fluctuations in volume from year to year. (Schmidt Dep., CX_01166:12-19). In addition, the evidence shows that some of Complainants' customers kept utilizing Complainants' services, albeit at a reduced volume, despite the increased prices. (CX_02040). This suggests that at least some carriers were willing to continue to use Complainants as stevedores even with the higher per-vehicle access fee. Complainants provide direct evidence of only one carrier that switched to using Ceres due to the access fee. (CX_01573). Even then, the customer says that it will work with the other stevedore for the forthcoming "few vessels," and the customer's long-term goal is to continue to work with Complainants. (*Id.*). Moreover, it is possible that there were other causes for a reduction in volume that are independent of any access fee issues. The Commission in *Rose Int'l* noted that the marketplace is not static, and that the complainant would need to present evidence to show that the respondent's actions led to a loss of business. (*Rose Int'l*, 2001 WL 865708, at *78). More persuasive would be "testimony or affidavits from [Complainants'] former customers to support that claim." (*Id.*).

Even if Complainants were able to prove that it is more likely than not that the lost volume was caused by Respondent's actions, I also find that Complainants have not carried the burden of proving the quantum of lost profits. Complainants state in Interrogatory answers and through testimony that its loss of EBITDA was a certain amount for each Complainant. Complainants do not show their work, however. They do not indicate the per-vehicle revenue, they do not show how overhead costs were figured in, they do not indicate if they figured in costs saved (*e.g.*, lower labor expenses). Complainants simply give blanket amounts of EBITDA based on the volume loss without any evidence or explanation how the amount was calculated. In *Rose Int'l*, the Commission indicated that lost volume is not the same as lost profit, and noted that the complainant's calculations failed to consider that costs may vary based on volume of work performed. (*Rose Int'l*, 2001 WL 865708, at *77-*78).

As noted above, damages are not presumed, and showing a violation without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation. (*MAVL Capital*, 2022 WL 2209421, at *3 (citations omitted)). Here, I find that Complainants have not provided sufficient evidence of lost volume, of a nexus between the access fee and the lost volume, or of the amount of profit loss. For these reasons, I will not order reparations.

V. ORDER

Upon consideration of Complainants' Opening Brief, Respondent's Response, Complainants' Reply, the related filings of each, including proposed statement of facts and responses, as well as exhibits; Complainants' and Respondent's Motions for Confidentiality; and Respondent's Motion for Leave to File a Sur-Reply, along with related filings, including the proposed Sur-Reply and the Complainants' opposition, it is hereby:

ORDERED that the four Motions for Confidential Treatment be **GRANTED IN PART AND DENIED IN PART**. Confidentiality is granted as requested with the exception of the total amount reflected on the invoices Respondent sent to Complainants for stevedoring vehicles at Respondent's terminal from January 2023 through March 2023, and specifically Complainants' Proposed Findings of Fact, p. 20 and Respondent's Responses to Complainants' Proposed Findings of Fact, p. 37. It is

FURTHER ORDERED that Respondent's Motion for Leave to File a Sur-Reply is **GRANTED** and the Proposed Sur-Reply is accepted for filing. It is

FURTHER ORDERED that judgment is granted to Complainants regarding their claims that Respondent violated 46 U.S.C. §§ 41106(c) and 41106(2). It is

FURTHER ORDERED that upon this decision becoming final, Respondent shall cease and desist from violating the Shipping Act by establishing, observing and enforcing the unreasonable practice of charging Complainants with the \$25/per vehicle access fee in connection with receiving, handling, storing or delivery property at Respondent's Atlantic and Chesapeake terminals in the Port of Baltimore from the period of January 1, 2023, through May 15, 2024. It is

FURTHER ORDERED that Complainants' claim for reparations is **DENIED**. It is

FURTHER ORDERED that this proceeding be **DISCONTINUED**.

Richard C.
Ambrow Jr -S

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Richard Ambrow
Administrative Law Judge